

Joint obligation is usually perceived with the existence of more than one debtors or creditors. When there is a single debtor and creditor, there is no such nature of the obligation. The single debtor is liable towards a single creditor and the single creditor is entitled against a single debtor. But, when there is plurality of debtors or creditors, we shall define the nature of the obligation that will tell us the relationship between the co-debtors and co-creditors in one hand and between creditors and debtors on the other. Each of the co-debtors is so liable to the creditor until the whole is paid that the creditor can demand payments from any of the co-debtors. In such a case, there is only one cause of action or a single suit. This means that the creditor can go to court at once. Once a proceeding is brought before a court against one debtor, no further proceedings will be allowed. Because, in case there is one cause of action, a proceeding against one debtor is a bar to the proceeding against the other. So, it can be said that there is *res judicata*. By *res judicata*, we mean that a proceeding against one debtor bars a proceeding against the other. So, it is up to the creditor. That is he can join them in a single suit or he can proceed against any of the co-debtor. This is very important especially when we talk of civil procedure.

When the creditor proceeds against one debtor, the debtor who is proceeded against has an option. He can call up on the court to include other co-debtors in the suit as a third party defendant. Because, the

obligation is shared among the co-debtors. If there is a person who is not proceeded against but who has the obligation to share from the liability or who has an obligation to indemnify the defendant, he can be joined by the defendant as third party defendant so long as the firstly sued co-debtor has opted so. Suppose that, in a case of joint obligation, there are three co-debtors which owed 300,000 birr to a creditor. In this case, the creditor can demand payment only from debtor one, two or three. Or he can demand from both debtor one and two. Or he can demand payment from both debtor two and three. Finally, he can demand payment from debtor three and one. Because, until the whole is paid, none of them are discharged. Rather, they are jointly liable towards the creditor. It must be noted that if the creditor wants to go to court, the best way is to join the three of them. If he once proceeded against debtor one, he cannot proceed against any of the other. Because, in the case of joint obligation, a proceeding against debtor one bars the proceeding against any of the remaining two. This is because such kind of obligation would simply give rise to a single cause of action. Suppose that the creditor proceeded against debtor three. In this case, D three cannot say to the creditor that D one and D two must be joined. That is he cannot object to the fact that the creditor has proceeded against him only.

But, there is another way of saying so that D one and D two will be joined. He can call up on D one and D two as a third party defendant (article 42 of the civil procedure code). Because, the obligation of

paying 300,000 Birr is shared among the three co-debtors. But, if D three has paid more than he should, he has recourse against D one and D two for contribution. I.E. he can be reimbursed by the remaining co-debtors to the extent he has paid in excess. Article 2195 and 2155 of the Civil Code can be taken as examples of joint obligation. **Art. 2195- Liability of principal.** (1) The principal shall be jointly liable with the agent where: He informed a third party of the existence of the power of attorney but failed to inform him of the partial or total revocation of such power. Or (2) He failed to ask the agent to return the document evidencing the power of attorney and failed to seek a judicial decision to the effect that such document was revoked. Or (3) He caused in any other manner, in particular by his statements, behaviour or failure to act, a third party to believe that the person with whom he was dealing was authorized to act on behalf of the principal. **Art. 2155. Joint liability.** (1) Where several persons are required to make good the same damage, they shall do so jointly. (2) No distinction shall be made between instigator, principal and accomplice. (3) Persons required to make good the same damage shall be jointly liable regardless of whether the liability has its source for one or other of them in a contract or in an extra-contractual liability.

Under the former article, it is provided that a principal who has misled a third party to believe that somebody is his agent is jointly liable with the apparent agent. This is simply the case of apparent agency. By apparent,

we mean that it seems to be true; but, it is not. Assume that a principal has conferred a power of agency to somebody in a written form. Then, if the principal is in need of terminating the agency relationship, he has to collect the documents from the agent. But, if the principal fails to collect the document evidencing the agency relationship and the agent, afterwards, transacts with a third party showing that document, both the principal and agent are liable to the mistake committed by the third party. Because, had the third party known the fact or had the principal collected the documents evidencing the agency relationship, he would not have transacted with the apparent agent. Of course, this contract does not bind the principal; because, the agent acted having no power of agency from the principal. But, the third party might suffer from damages due to this contract. Luckily, he can join both the principal and the apparent agent and claim damage. This is what article 2195 is talking about.

But, under the latter article, the case in point is tort or extra-contractual liability. Suppose that A and B jointly owns a car. This car has caused some damage against mister Cherinet. Whether they are at fault or not, because they are simply the owners of the car, they are both liable jointly to mister Cherinet. Or in other case, if A's car and B's car collided with each other and caused damage against Mister Cherenet, they are also jointly liable to the injured. These kinds of obligation are also found in the other part of the Civil Code.

The other one is several obligations. Despite several obligations, the contract may be single. In a single contractual document, there may be more than one debtor or creditors in which each of the co-debtors or each of the creditors is liable to a separate obligation or is entitled to a separate right. In the case of joint obligation, it is remembered that there is no benefit of discussion or benefit of division. Here, each debtor is liable only for his share. The creditor cannot claim from a single debtor in excess of the latter's share. So, we can say that here, there is benefit of division. When he is proceeded against, a debtor can say to the plaintiff that he shall only be liable for his share and that the creditor cannot precede him for the share of the other co-debtors. So, if the creditor wants to claim the share of other co-debtors, he should precede them independently as well. In short, there is benefit of division because the obligation is divided among the co-debtors.

The causes of action here are as many as the co-debtors are. I.e if a creditor has 20 debtors, he can enjoy himself by preceding them with 20 separate causes of action. Note must be taken that in the case of several obligation, going to court of law as many times as the causes of action are doesn't seem to be the best way for the creditor.

The third one is the combination of the two, joint and several obligations. I.e it has the attributes of both obligations. In such a case, debtors cannot be discharged unless the whole is paid. The creditor can claim the whole or part payment from any of the debtors. Here, there are

several causes of action. I.e the creditor can proceed against one debtor for the part; or he can proceed against the other for the whole. Generally speaking, the choice is left for the creditor. Assume that 4 debtors owe one million Birrs with the share of one fourth each to a creditor. In this case, the creditor is entitled to claim payment only from D one to the extent of his share. Because, the contract has an aspect of several obligation. The creditor can claim half of even the whole million Birrs from D one only. Even, he can join D one and D two and leave the rests out. Any proceeding against D one is not a bar for a further proceeding against the other. I.e there is no res judicata. D two cannot invoke the fact that the cause of action under consideration has been decided up on when the creditor first proceeded against D one. So, notice to one of the co-debtors will put the rests in default as well. The creditor is not expected to put each and every co-debtor in default. Rather, serving notice to one of the co-debtors is sufficient to put the others in default. If D one admits the debt, his admission can interrupt period of limitation, if any, that is running in favor of all co-debtors. So, if the creditor wants to interrupt the period of limitation, he will have to precede at least one of the co-debtors. Payment by one of the co-debtors would also relieve the other co-debtors to the extent paid. In general, the basic idea of joint and several obligations is that it simply joins the two obligations. The creditor can make a separate claim against each or he can joint them as he wishes. While joining them, he should look for a debtor with a big

wallet size and proceed against instead of calling up on the rest. If the creditor calls up on or joins the rests, it may make his life at court difficult. Because, each of them may come up with their own argument which in turn makes his life at court miserable. If he fails to win the case against a co-debtor, still he has the chance to proceed against the rests. There is nothing that the creditor loses as a result of his defeat of the first case. The payment made by D one is tantamount to say that D two has paid. For instance, if the creditor has preceded D one only for the 200,000 Birrs and D one has effected the payment of such debt which is his share, D one shall not be discharged no matter the creditor has claimed only to the extent of his share. He will remain bound towards the creditor unless the whole is paid.

Article 1110 and 1917 to 9 of the civil code provide for several obligations. Article 1110/1, as to division of claim or several obligations, provides that the creditor shall divide his claim among the heirs, in proportion to the value of the share received by each, unless the debt due to him is indivisible. Obligations which are neither indivisible nor joint are several obligations. If an obligation is several, the creditor can claim against a debtor to the extent of his share in the claim. The debtor is also liable to the extent of his share in the claim. It must be noted that the nature of the obligation whether it be joint, several or joint and several is determined by the contract. If the parties could not come into agreement

as to the nature of the obligation, the law shall come to play on their behalf.

Plurality of debtors as defined in the civil code. Article 1896 provides that unless otherwise agreed or provided by law, co-debtors shall be jointly and severally liable. The clause unless otherwise agreed indicates that the parties are at liberty to define the nature of their obligation in their contract. The clause provided by law indicates that the law might define the nature of the obligation. Where the law defines the nature of the obligation, the parties have no say to modify what has been defined by the law. If the parties or the law does not provide for a different nature of liability or obligation, then, co-debtors are jointly and severally liable.

Article 1897 provides that (1) the creditor may require all the debtors or one of them to discharge the obligation in whole or in part. (2) Each debtor shall be liable until the obligation is fully discharged. According to sub-article 1 of the above article, the creditor is entitled to claim the whole or part of the debt from any of the debtors. On the other hand, until the obligation is fully paid, no debtor is released unless the creditor is satisfied.

Article 1898 also provides that Proceeding instituted against one of the debtors shall be no bar to similar proceedings being instituted against the

other debtors. Res judicata cannot be pleaded by the co-debtors. On the other hand, res judicata violates the principle enshrined under article 5 of the civil procedure code. But, note must be taken this does not mean that the creditor can proceed with the same co-debtor repeatedly with the cause of action being the same.

Notice placing one debtor in default is effective against all the debtors as well (1899). The creditor is relieved of the obligation or burden to put each and every co-debtor in default. Before one invokes non-performance, he is expected to put the debtors in default. But, in the case of joint and several obligations, putting one in default amounts to putting all in default.

Article 1900 provides that (1) any debtor may act up against the creditor defenses based on the nullity of the obligation. (2) Where the obligation, is null owing to a defect in the consent or to the incapacity of the debtor, such nullity may be raised by that debtor only. There are possible common defences that can be raised towards the creditor. Period of limitation can be taken as a good example for common defenses. If the period of limitation has lapsed, then each co-debtor is advised to plead period of limitation. Failing that, he imperils his right to be indemnified by the rest. On the other hand, once payment is effected by one co-debtor, then none of the rests has not to do again. It must be noted that payment is used to include grounds which extinguish obligation such as

remission, novation, and set-off. If one co-debtor has paid the whole or part of the debt, it is considered as if all the rests had paid.

As to nullity of the obligation: if the contract has a problem in connection with formation, especially, if the formation of the contract suffers from lack of object (unlawfulness, impossibility, being not sufficiently defined, and immorality) or form, then that can serve as a common defense for the whole co-debtors. This common defense is mainly related to a contract which is not of legal existence at all from both sides of the debtors and creditor. When the contract is related to defective consent or capacity (sub-article 2 of the above article), the defective consent might relate to one, two, even all of the co-debtors. In this case, the one whose consent has been vitiated or the one who is incapable only can plead incapacity or defective consent. This defectiveness is related to voidable contract. Voidable contract is operative in one side and defective on the other.

Article 1902 reads, (1) Where the debt is remitted to one debtor, all co-debtors shall be released. (2) Notwithstanding the provisions of sub-art. (1), the creditor may specify that the debt is remitted for the exclusive advantage of one debtor. (3) A remission under sub-art. (2) Shall not release the co-debtors unless the debt ultimately rests with the debtor for whose advantage the remission was made. If the creditor says, I have limited my claim, all debtors shall be beneficiary. Because, remission without specifying the beneficiary will release the co-debtors as a whole.

But, the creditor has the right to specify the co-debtor whom he wants to benefit. If he wants to benefit D one, he would say, mister D one: I hereby remit my claim to the extent of your share . In such a case, only D one will be the beneficiary. The remaining co-debtors are obliged by the rest part of the obligation. Assume that three debtors have borrowed 600,000 Birr on equal share from C one. The creditor has demanded payment from D two to the extent of his share and D two has effected payment on the spot. He has also demanded and collected payment from D three. In this case, only D one has not effected payment. Though, D two and three, even if they have effected payment to the extent of their share, are not discharged. Because, they are jointly and severally liable until the whole is paid. When the creditor has remitted his claim against D one, the portion of the claim which has been effected by the remission will ultimately rest on D one. Then, both D 3 and D two shall be released together with D one.

Article 1903 also provides that (1) the provisions of Art. 1902 shall apply when the creditor agrees with one debtor to substitute a new debt for an existing debt. (2) The creditor may specify that novation shall only apply to the share of that debtor. When an obligation is novated, it will benefit the whole co-debtors unless the creditor specifies the beneficiary. In the above example, before none of the co-debtors has effected payment to the extent of his share, if the creditor has specifically novated the obligation of D one, he is discharging D one

only. If the novation comes in general terms, it shall benefit all of the co-debtors.

Article 1904 reads, where the creditor owes a debt to one debtor, the co-debtors shall not be released unless the debt ultimately rests with the debtor with whom the set-off was made. Set-off and merger has different effects from the previous ones. In the above example, D one might have a claim against the creditor. In other words, the creditor might owe something towards the co-debtor. As to the requirements of set-off, please refer to the pages on set-off from the first semester course. Assume that the creditor has owed 100,000 Birr to D one in the above case. The obligations have also fallen due. In this case, D one can invoke set-off. However, the set-off always benefits the debtor who pleaded it.

Article 1905 provides that where one debtor becomes the creditor, merger shall not release the co-debtors unless the debt would ultimately have rested with the debtor who became the creditor. In the case of merger, the co-debtor takes the position of the creditor. When the co-debtor takes the position of the creditor, the remaining co-debtors shall benefit only to the extent of his share. In general, set-off and merger will release the co-debtors to the extent of the share of who enjoyed them.

Article 1906 reads, (1) a debtor who is jointly and severally liable may do nothing to increase the liabilities of the co-debtors. (2) A debtor shall be liable to the co-debtors where he fails to raise defences common to all

the co-debtors. The co-debtor is expected to raise common defenses. Suppose that when a co-debtor is proceeded against, though he has the luxury of pleading period of limitation, if he fails to plead period of limitation and simply pays the creditor, he shall not be entitled to contribution. Because, he has given life to an already barred obligation. As we have said before, as regards period of limitation, it is up to the defendant. If the defendant doesn't plead it, the court cannot say anything with regard to raising period of limitation. So, a co-debtor is always advised not to overlook common defenses.

Of course, some periods of limitations are to be raised by the court (69 of the RFC). Where one of the spouses has entered into obligations in violation of Article 68 of the RFC, the court may, at the request of the other spouse, revoke such obligations. An application for cancellation may not be made six months after the day on which the other spouse came to know the existence of such obligation, or, in any case, two years after such obligation is entered. If an application for cancellation is not made within six months after the day on which the other spouse came to know the existence of such obligation, or within two years as of such obligation is entered, then it will be an absolute bar. Even if the defendant did not plead the two years period of limitation, the court shall request such period of limitation by its own motion. In general, in the case of procedural period of limitation, the debtor may not have to demand it since they are enjoyable without demand. In the case of

relative period of limitation, If the co-debtor failed to invoke period of limitation, the law assumes that the co-debtor has waived it.

Article 1907 provides that unless otherwise agreed or provided by law, each debtor shall share equally in payments made to the creditor. Parties, in their contract, may provide various regimes of share for themselves. Assume that the three debtors have borrowed 600,000 \$s from a creditor. In this contract of loan, D one has a share of 100,000 \$s while D two and three have share of 200,000 and 300,000 \$s respectively. So, the share can be provided in any way. But, failing such agreement, the law assumes that there is parity of share among the co-debtors.

As to claims as between co-debtors, article 1908 provides that (1) A debtor who pays in excess of his share may claim the amount paid in excess from the co-debtors in proportion to their share. (2) Any amount which cannot be recovered from one of the debtor shall be repaid by the other debtors in proportion to their share. If a co-debtor has paid in excess of his share to the creditor, he shall subrogate himself to the position of the creditor to the extent he has paid in excess. The creditor is also obliged to hand on the documents supporting the obligation so long as the debtor has paid him. He has also to facilitate the subrogation. If, in our example, D one has paid the whole 600,000 \$s to the creditor, the excess is equivalent to 500,000 \$s. in this case, D one will recover this excess from D two and D three. But, unlike the claim of the creditor, in the case of contribution, D one's claim is only limited to d two's

share. He exercises the right of the creditor with some modifications. His claim against D three is also limited to the share of D three only. But, some times D two might be insolvent (judgment proof. I.e. he may not be in a position to effect the obligation. Article 404 of the civil procedure code in connection with this type of case reads as follows.

404.- Property not liable to attachment. The following property shall not be liable to attachment or sale at any stage of the proceedings: (a) the necessary wearing-apparel, cooking vessels, bed and bedding of the judgment-debtor and his family; (b) tools, instruments or implements of any kind used by the judgment-debtor in his profession, art or trade; (c) where the judgment-debtor is an agriculturist, such cattle and seed-grain as may, in the opinion of the court, be necessary to enable him to earn his livelihood; (d) such amount of food and money as may, in the opinion of the court, be necessary for the judgment-debtor and his family for a period of three months; (e) pensions and alimonies; (f) without prejudice to the provisions of Art. 121 of the Maritime Code, two thirds of the judgment-debtor's salary, provided that the entire salary shall be exempt from liability to attachment where it does not exceed two dollars per day and the judgment-debtor has no other income; (g) any other property declared by or in accordance with any law to be exempt from liability to attachment or sale.

If D two became insolvent, his share will be shared between D one and D three in proportion to share of their debt.

Article 1909 reads, (1) a debtor who may claim under Art. 1908 shall substitute himself for the creditor to the extent the amount paid by him to the creditor. (2) The creditor shall hand to the debtor who makes the payment all documents and make all formalities to enable the debtor to claim from the other debtor. (3) Where the creditor makes substitution impossible, he shall be liable for the damage caused by him to the debtor. We've said that the creditor must hand over the documents supporting the debt and facilitate the subrogation. But, if the creditor makes it impossible, and if D one has lost the portion he was to get from D two as a result of the refusal of the creditor to hand on the documents, the creditor shall be liable to the damage caused by him to D one. For example, D two might be insolvent due to the fact that his house and the property therein have been burnt into ashes 5 months after d one has effected payment to the creditor. But, had the creditor handed over the documents to D one as soon as he was paid, D one would have been paid by D two. So D one shall be paid by the creditor.

Article 1910 reads, unless otherwise agreed or provided by law, joint creditors shall not be jointly and severally entitled to claim payment. Joint creditors are not jointly and severally entitled to claim payment. But, we've said earlier that the clause **Unless otherwise agreed** denotes that the parties are at liberty to define the nature of their

obligations. If the parties have agreed for a different type of obligation, they can make themselves be jointly and severally entitled to claim payment. Failing such arrangement or unless provided by law, they cannot jointly and severally claim payments.

Article 1911 provides that (1) each joint creditor may require the debtor to pay the whole debt. (2) Payment made to one of the creditor shall be effective against the entire creditors. (3) The debtor may, at his option, pay any of the joint creditors until he is informed that proceeding have been instituted by one of them. Any of the creditors can claim the whole payment from the debtor. The debtor is not expected to invite all of the creditors to one place to receive payment. Payment to any of the creditors releases the debtor (s). So, payment to one of the creditors is so valid payment that it releases the debtor(s). In short, it is up to the debtor to effect payment to whomever of the creditors he is interested to pay. But, the debtor must be cognizant of the fact that if there is a proceeding instituted by any of the creditors, and then he has to refrain from effecting payment to the other. Of course, to this effect, he must be informed that a proceeding has been instituted by any of the creditors.

The creditors have only one cause of action against the debtors. Article 1912 reads, any act interrupting the period of limitation as regards one joint creditor shall interrupt it for the benefit of all. Any ground interrupting period of limitation in favor of one of the creditors would definitely interrupt the period of limitation for the rest.

A remission of debt made by one joint creditor shall, however, release the debtor in respect of the share of that creditor only (1913). We've said that Remission, in the case of joint debtors, discharges the joint debtors as a whole unless it is expressly intended and stated to benefit a specific debtor. On the contrary, in the case of joint creditors, if a single creditor remits, he only remits his share. He does not remit the share of the rest. So, whenever there is a remission, the debtor will benefit only to the extent of the share of the creditor who remits the debt.

The provisions of Art 1913 shall apply to a novation agreed upon between one joint creditor and the debtor as well. Where there is a novation by a debtor and one creditor, the debtor will benefit to the extent of the share of the novating creditor only.

Where the debtor becomes creditor of one joint creditor, he may invoke a set-off against the other co-creditors only to the extent of such creditor's ultimate share in the claim (1915). If the debtor has a claim against any of the creditors, he can set off his claim only against the share of the creditor who owes him.

Article 1916 reads, (1) unless otherwise provided by the contract or by law, each joint creditor shall be entitled to an equal share of the debtor's payment. (2) A creditor receiving more than his share shall account for the excess to the other creditors. Unless in the contract, a different share is provided, it is assumed that all the creditors have parity of share

against the debtors. So, if any of the creditors is found to have been paid in excess of his share, he shall be liable to the other creditors for the excess he has received.

Article 1917 provides that the provisions regarding joint obligations shall apply by analogy to obligations which are indivisible owing to their nature. If somebody owes someone an ox, the issue of part payment is unthinkable due to the non-divisibility of the debt. Where dividing the obligation affects the subject-matter of the contract or is likely to render a significant damage to such property, then the obligation is said to be indivisible. By indivisible, we mean that the obligation should be performed in its integrity or totality. When the obligation is indivisible, the parties cannot adopt the principle of joint and several liabilities. D one and D two have a house with a share of 20 and 80% respectively. Then, they sold the house to a creditor. In this case, as far as the sale is related to the thing, it is impossible to provide for several obligations. They will not hold themselves liable to the extent of their share only. They cannot say that the creditor can claim from each of them only to the extent of their share. Of course, where the sale is related to the share, it is possible to provide for several obligations. Therefore, they will be obliged to apply the principle of joint obligation.

The obligation may not be joint or indivisible. If the obligation tends to be joint, the debtors will be jointly and severally liable. Their liability is not only limited to their share only. They will only be released when the

whole is paid to the creditor. Where the obligation is indivisible again, the same principle shall apply. They cannot divide the obligation among themselves.

But, if the obligation is joint for creditors, any of the creditors can claim the whole payment from the debtor. In the case of joint debtors, the creditor can claim the whole payment from any of the debtors. The debtor cannot invoke benefit of division against the creditor. If the obligation is indivisible and at the same time, there is more than one creditor, then a single creditor can claim the whole.

Article 1918 reads, (1) Obligations which are neither joint obligations nor indivisible owing to their nature shall be divided between the persons liable for the debt. (2) Each debtor shall be liable for his lawful share or for such other share in the debt as may be prescribed by the contract or by law. (3) Nothing in this Article shall affect the case where one debtor has acted as surety and guaranteed payment of the debt by the principal debtor. When the obligation is neither joint nor indivisible for the debtors, the debtors are liable only to the extent of their share. Because, if an obligation is indivisible, then it is possible to provide for a several obligation.

Article 1919 reads, (1) Obligations which are neither joint obligations nor indivisible owing to their nature shall be divided between the creditors. (2) Each creditor may only demand payment of his lawful

share or of such other share as may be prescribed by the contract or by law.

The creditors can claim only to the extent of the share he has against each debtor. In case the obligation is indivisible, we apply the principle of joint and several liabilities for the debtors and the principle of joint obligation for the creditor.

Securing the performance of an obligation

There are two types of securities, real security and personal security. Pledge, mortgage and antiq are examples of real security. Guarantee or surety is, on the other hand, example of personal security. The first group of security provides real rights while the second group of security provides right in personum. Pledge is related to movable property. On the other hand, mortgage is related to immovable properties. It may, however, apply to movable properties such as air plain. But, car is the subject of law of pledge. Business is also an incorporeal chattel; but, it is subject of law of mortgage. Antiq applies to immovable property as well. Antic (wellede aggede is different from mortgage. In the case of mortgage, the property will be in the hands of the mortgager. One who gives his immovable to secure the claim of his or another will remain to be the possessor of his property. But, in the case of anteq, the debtor has to deliver his immovable to the creditor. The property remains to be in the hands of the creditor. The creditor enjoys using that immovable property. The usus right established by the creditor would bar the

running of interest. Instead of making the debt bear interest, the debtor would hand over his immovable to the creditor so that the latter makes use of it. So, in the case of antic, there is no interest running against the debtor.

Real right has two meanings of its own. We've said that a person who has a real right can exercise his right against anybody. The two meanings of real right are the right to follow the thing and the right of preference as to that specific thing. Some times, there might be a subsequent real right enjoyed by different people over a property. Note must be taken that a mortgaged house can be sold, mortgaged or subject to any other real right. The right to follow presupposes that the mortgaged property can go from one person to various persons in different forms of real right. But, banks of our country and even legal professionals mistakenly believe that a mortgaged property cannot be subject to any form of real right. The Civil code never puts restriction so that the mortgaged property cannot be subject to another real right.

A person sold his mortgaged house to another person (an acquirer. The acquirer also resold the newly acquired house to another person. The second acquirer mortgaged the house to another creditor. Then, the creditor can exercise his real right against the first acquirer who bought the house from the mortgager if the mortgager fails to pay his debt. If the first acquirer has resold the house to another person, the creditor can

exercise his right against the second purchaser. Because, as long as he has the right to follow, there is no restriction.

The other form of real right is the right of preference. In the above case, both the creditors and the purchasers have real right over the house. But, the one who registered his right first is preferred if he fulfilled the formalities. For a mortgage contract, there are formalities provided by the law. For instance, the contract must be in writing and registered. So, creditor one has preference over creditor two in order to exercise his right.

Article 1920 provides that whosoever guarantees an obligation shall undertake towards the creditor to discharge the obligation, should the debtor fail to discharge it. The obligations which are supposed to be guaranteed are not limited only for contractual obligation. This can be inferred from the article AN . Sometimes, a guarantee being itself a contract, there may be a contractual obligation to be guaranteed.

It is remembered that an obligation arises from law or contract. The property of Tadele has caused damage to Bekele. the extent of damage has been agreed in between to be 200,000\$. the person who caused damage to Mister Bekele has asked the latter to postpone payment and eventually produce a guarantee. In the case of extra-contractual obligation, so long as the person has accepted the liability, then it is possible to provide for a security or guarantee. In a criminal proceeding,

when someone is summoned by the police or is required to appear before a court, he will be guaranteed by producing surety with a sufficient resource or a bond. When someone is employed in a certain government institution, he may be required to provide for a surety. So, a surety can be provided for any kind of obligation one owes to another. The guarantor is liable when the debtor fails to discharge his obligation.

Who are the contracting parties for a guarantee contract? Article 1921 provides that a guarantee may be given without any request from the debtor for whom it is undertaken or without his knowledge. The contracting parties for a guarantee contract are the creditor and the guarantor. We can enter into a guarantee contract even without the knowledge and will of the debtor. This may usually be true in the case of employment relationship. If the employment is successful, the employer may be advised to enter into a guarantee contract with the brother, sister or anyone of the employee's relatives. Any obligation can be guaranteed with or without the knowledge of the debtor.

Article 1922 reads, (1) a guarantee shall not be presumed. (2) It shall be express and may not be extended beyond its contractual limits. (3) The contract of guarantee shall be of no effect unless it specifies the maximum amount for which the guarantee is given. There is no presumption in guarantee contract. The guarantee contract must be reduced into writing. The amount to the extent of which the guarantor holds himself liable must be specified. Unless the amount is fixed, the

guarantor cannot say, I hereby bound myself for the obligation of the debtor. We cannot presume, when he says, I hold myself liable as a guarantor; he means to be liable for the contract. The guarantee may provide for the whole or part of the obligation. But, it cannot, in any way, exceed or be onerous much more than the debtor owes to the creditor. If the debtor owes 100,000\$ to the creditor, then the guarantor cannot hold himself liable for 150,000\$. the maximum amount for which he can hold himself liable is only the 100,000\$.

article 1923 provides that (1) A guarantee may not be given except in respect of a valid obligation. (2) A debt resulting from a contract which, owing to mistake or incapacity, is not binding on the debtor, may validly be guaranteed where the guarantor, on undertaking the guarantee, was aware of the defect pertaining to the debtor which vitiated the contract. In principle, the contract must be valid. Meaning, a voidable and void contract cannot be guaranteed. If a contract suffers from any of the defects pertaining to the elements of a contract, then there is no guarantee. But, exceptionally, a voidable contract can be guaranteed. In that case, there must be knowledge on the part of the guarantor and he must hold himself liable to guarantee the obligation after he has already been cognizant of the fact that the contract is voidable.

As we ve said earlier, a guarantee may not exceed the amount owed by the debtor, nor be contracted on more burdensome terms (1924). Rather, it may be contracted in respect of part only of the debt and subject to less

burdensome terms. A guarantee which exceeds the amount of the debt, or which has been contracted on more burdensome terms, is not void but merely reducible to the amount of the primary debt. For example, if the guarantor of the debt of 100,000\$ is found to have guaranteed for 150,000\$ which is more onerous than the debtor owes to the creditor, then it shall be reduced to the actual obligation of the debtor (100,000\$).

Article 1925 provides that (1) a guarantee may be undertaken in respect of future or conditional obligations. (2) Where the time during which the guarantor is to be bound has not been stipulated in the instrument creating the guarantee, the guarantor may put an end to his undertaking so long as the primary debt is not yet due. A guarantee may be provided for a future contract. Employers, especially government employers require employees to provide for security. In case the employee causes certain damages to the property of the employer, his guarantor will be held liable. Unless the damage to the property of the employer occurs, there is no obligation on the part of the employee and there is nothing to guarantee. But, there is an expectancy that the obligation may arise some time in the future. So, should it happen, then it can be guaranteed. A conditional contract can also be guaranteed. In case of future or conditional obligation, we cannot see an obligation here by the time we enter into a guarantee contract. We simply expect a future obligation.

For how long can we hold the guarantor liable? For how long should we expect the condition precedent to occur? For how long would we expect the condition subsequent to destroy our contract? The creditor and the guarantor are advised to fix a time for which the former holds the latter liable. If the time is fixed, the guarantor will be bound only within that specified time. But, if no time is provided in the contract, the guarantor can release himself any time before the obligation is due. He can inform the creditor that he is no more liable for the obligation whenever he wants to discharge him. If a guarantor of an employee entered into a guarantee contract with an employer and they did not fix the time for which the guarantor is held liable, then the guarantor can put the obligation to an end at any time before damage is caused to the property of the employer. If a guarantor is to guarantee the obligation of a debtor for free, he usually takes into consideration the relationship he has with the debtor. Even, if he does for consideration, he takes into account the financial position of the debtor. He must prove that the debtor is in a good position to discharge his obligation. Or he should not enter into such guarantee contrac.

Article 1926 provides that (1) the guarantor shall be released when the primary debt is discharged for any reason whatsoever. (2) The guarantor may set up against the creditor all the defences available to the debtor, and the fact that the principal debtor might have waived them cannot be set up against him. (3) The fact that the obligation of the principal debtor

is null by reason of a defect in the latter's consent or of his incapacity shall not affect the guarantor, where he bound himself with full knowledge of these circumstances. A guarantee contract is a contract which depends for its existence on a primary obligation. Payment, novation, set-off, merger, limitation, remission, invalidation and cancellation can extinguish primary obligation. If the primary obligation is extinguished by any of these factors, the guarantee contract cannot stand alone. The phrase *for any reason whatsoever* refers to any of these extinguishing factors.

If the debtor has interest in the performance of the contract, no matter there is defect in consent or capacity, he may move the contract towards getting performance by confirming the contract. Cancellation is usually for the creditor. If specific performance is not possible or if the creditor does not seek for specific performance and cancels the contract, then, reinstatement except for the damage, will be made. If damage is included, it is possible to hold the guarantor liable for such damage.

Any defense available to the debtor is also available to the guarantor. Even if the debtor has waved his right to plead period of limitation, the guarantor is, in no way, affected. The guarantor can plead those defences despite the fact that they are waved by the debtor. When we talk about 1923/2, we've said that a guarantee is possible in relation to a valid contract.

In case of voidable contract, the guarantor can also hold himself liable if he explicitly entered into such contract knowing that the contract is voidable. He cannot plead such defences against the creditor as if they were to be invoked. But, if he is not cognizant of that by the time he entered into guarantee contract, then it is possible for him to invoke the defect as a defence.

Article 1927 reads, the voluntary acceptance by the creditor of an immovable or of any other asset in satisfaction of the primary debt shall discharge the guarantee even though the creditor may subsequently be evicted. Substitution is different from novation. The debtor owes money to the creditor. But, the debtor and the creditor have agreed, instead of paying money, the debtor shall deliver a car. Does it change the nature of the contract? It depends on the circumstances. Whether it is a novation or not, the guarantor will be released. But, the nature of the obligation is here changed. The nature of the contract may not, however, be affected. If the nature of the contract is affected, then it would be a novation. If a contract is changed from contract of donation to contract of sale or from bailment to lease, then it is novation.

Article 1928 provides that (1) Contracts entered into between the creditor and the principal debtor after the making of the contract of guarantee may not increase the liabilities of the guarantor. (2) The guarantor shall be released where the creditor, without his being expressly authorised to do so, allow time for payment to the debtor. The

garantor will hold himself liable towards the creditor only to the extent he has undertaken in the guarantee contract. Any modification or any increase in the liability of the debtor does not affect the guarantor. For example, a debtor is entitled to invoke force majeure to avoid liability. Days after the making of the guarantee contract, by way of variation, if he extends liability and holds himself liable even in the event of force majeure, this modification can, in no way, affect the guarantor. The creditor is strongly advised to consult the guarantor before he gives any extension of time to the debtor. If the creditor extends time for the debtor without the consent of the guarantor, then he risks at releasing the guarantor. Extending time for performance is modifying the previous contract.

Proceedings instituted against the principal debtor shall interrupt the period of limitation as regards the guarantor (1929). From this article, what we learn is that there are two causes from the creditor 1) against the debtor 2) against the guarantor. If the creditor has exhausted with the debtor, then he can come back to the guarantor. So, any proceeding that is instituted against the debtor will interrupt the period of limitation against the guarantor. I.e. if he fails with the litigation he had against the debtor, he will have recourse against the guarantor. Not only proceeding, but also any way of interrupting period of limitation shall interrupt period of limitation against them.

Article 1930 reads, where the debt guaranteed bears interest, the guarantor shall, unless otherwise agreed, guarantee the payment of the interest within the limits of the maximum amount stated in the instrument of guarantee. The guarantor may hold himself liable for the whole or for some part of the claim. Assume that there is a debtor liable for 200,000\$ towards a creditor. The debt is paid with ten% of interest rate. The guarantor who has been called upon to secure the claim has secured it up to the extent of 150,000\$. but, in the guarantor contract, a specific reference to the interest is not made. Despite non-reference to the interest in the guarantor contract, the guarantor is liable for both. Unless, in the guarantor contract, interest is excluded, or unless the guarantor says that he is only liable for the principal debt not the interest thereof, he will be liable for both. The mere fact that the guarantor contract is silent as to the interest of the debt, does not release the guarantor from paying interest apart from the principal debt. But, the guarantor can avoid paying interest in the guarantor contract by expressly limiting his liability only to the extent of the principal debt. The phrase “unless otherwise agreed” tells that the liability of the guarantor to pay interest can be contracted out or silence will amount to adhering or accepting the liability to pay interest.

Article 1931 regarding legal cost reads, The guarantor shall be liable, even beyond the limits of the maximum amount stated in the instrument of guarantee, for the costs of any actions brought against the principal

debtor, provided he received sufficient notice thereof enabling him to forestall them by discharging the debt. We've earlier said that the liability of the guarantor cannot be, in any way, greater than the liability of the debtor. Of course, it can be less or equal to the liability of the debtor. The most usual legal costs are court fee (in the case of civil proceeding unless the claimant is proved to be devoid of means to pay court fee) and lawyers fee. For the creditor to hold the guarantor liable to a legal cost, he has to notify the guarantor before he proceeds against the debtor. A guarantor who is sufficiently communicated with the intention of the creditor has to either pay or move the debtor effect payment towards the creditor. Failing that, he will subject himself to the legal costs.

Article 1932 provides that (1) the guarantor may not be required to pay prior to the time fixed for the payment of the primary debt notwithstanding that the debt became mature at an earlier date owing to the bankruptcy of the debtor. (2) Where the primary debt is eligible only after previous notice is given to the debtor, such notice shall also be given to the guarantor. (3) The period of notice shall run as regards the guarantor from the day he was notified. If a debtor is declared bankrupt or insolvent, he loses his benefit of time. This means that the creditor can claim payment before the obligation falls due. But, the fact that the debtor has lost benefit of time doesn't mean that the guarantor also loses his benefit of time. Though the debtor is declared bankrupt, the

creditor has to wait for the obligation to fall due to claim it from the guarantor. No matter the debtor loses his time benefit, the guarantor retains it.

Sometimes, the due date may not be fixed (1756/3). On the basis of article 1756/3, payment may be effected when demanded by the creditor. The obligation falls due at the moment the creditor calls upon the debtor to discharge his obligation. I.e. the obligation shall fall due when the creditor serves notice to the debtor. In those cases, the debtor must be given sufficient notice to effect payment. When the creditor gives notice to the debtor, he should also give notice to the guarantor. Giving notice only to the debtor is not sufficient to put the guarantor in default.

In relation to guarantors, we can identify two types of sureties. They are simple and joint sureties.

Article 1934 provides that (1) Apart from the case mentioned in Art 1933; a guarantor shall not pay the creditor unless the principal debtor fails to discharge his obligation. (2) The guarantor may demand that the creditor, before requiring him to pay, should discuss the principal debtor's assets and, in particular, realize the real securities available. In principle, in the case of simple guarantor, the creditor will be paid first by the debtor. That means, the guarantor is called upon when the debtor fails to discharge his obligation. The creditor is here advised to claim payment first from the debtor. He can resort to the guarantor when the

debtor fails to discharge his obligation. In other words, the guarantor has benefit of discussion. The creditor cannot discuss the principal debtor unless the guarantor so requires or invokes as soon as he is first preceded against (1935/1). But, note must be taken that the guarantor may not claim benefit of discussion where the insolvency of the debtor has been judicially established. When payment is demanded from the guarantor, he can advise the creditor first to claim payment from the debtor. The guarantor must plead benefit of discussion and that the creditor has no right to directly proceed against him as soon as he is proceeded against by way of preliminary objection.

The mere fact that the guarantor has pleaded benefit of discussion is not sufficient. To enjoy this right, there are other conditions that must be fulfilled. Article 1936 provides that (1) a guarantor requiring discussion shall indicate the debtor's assets to the creditor and advance sufficient money for the costs of their discussion. (2) He may not indicate such debtor's properties as are subject to litigation, or situate outside the country of payment, or mortgaged as security for the debt but no longer in the debtor's possession. The first is that he has to advance sufficient money for the discussion. This includes legal costs and others if any. Advancing money is not sufficient. If there are real securities, he should simply inform the creditor to realize the securities. He has also to indicate the properties of the debtor which are not subject to litigation, or situate outside the country of payment, or mortgaged as security for the

debt but no longer in the debtor's possession. The phrase "but no longer in the debtor's possession" under article 1936 doesn't seem to be valid. Because, whether the mortgaged property is in the hand of the debtor or a third party, the mortgagee always enjoys a preference right. But, the properties to be indicated must be in line with article 404 of the civil procedure code. This provision denotes the properties that are not subject to attachment. The properties that the guarantor is going to indicate must not be within the lists provided under article 404 of the civil procedure code. These properties are vital properties for the personal use of the individual. We can't destroy any individual just because he owes someone a debt.

Article 1937 reads, where the guarantor has indicated the assets as provided in Article 1936 and has supplied sufficient money for their discussion, the creditor is answerable to the guarantor, up to the value of the assets thus indicated, for an insolvency of the principal debtor due to the creditor's failure to proceed. Sometimes, with negligence or any other reason, even if the guarantor discharges his obligation under article 1936, the creditor may fail. In that case, the creditor will be answerable to his failure. For example, if there was a house belonging to the debtor which sufficiently would cover the claim of the creditor, but, due to lack of diligence on the part of the creditor, if that house was disposed off to another person, the creditor shall bear the risk by him. If a certain property of the debtor, after the creditor has been advised to realize, is

lost, then the guarantor shall be released to the extent of the value of the property disposed off. If the whole claim was 200,000\$ and if the value of the property sold is 100,000\$, then the guarantor will be released to the extent of 100,000\$. If the value of that property exceeds or is equal to the whole debt, then the guarantor will be totally released. So, as a creditor, when one is advised by the guarantor to realize or to discuss the properties of the debtor, he has to move quickly. He should not only move quickly, but also he has to follow the proceeding diligently by himself or through hiring diligent lawyer.

But, there are instances where benefit of discussion cannot be raised against the creditor. On the basis of article 1935, the guarantor must plead benefit of discussion on the spot and the debtor must not be bankrupt. If the bankruptcy is judicially established, benefit of discussion will be lost. If the debtor is bankrupt, the property of the debtor falls in the hands of the liquidator not in the hands of the debtor. The liquidator will take over the administration of the properties of the bankrupt debtor and calls upon creditors, if any, and divide it among them.

Article 1935 must be read with article 1947/2 which reads as creditor shall inform the guarantor of the bankruptcy as soon as he is aware of it. When the debtor is declared bankrupt, the creditor has the duty to inform the guarantor of the bankruptcy. Failure on the part of the creditor to inform the bankruptcy may cause certain damage to the guarantor. If the

creditor fails to comply with these rules, he shall lose his rights against the guarantor to the extent of the latter's loss resulting from such failure (1947/3).

Benefit of discussion is sanctioned under article 1937. Note must be taken that the guarantor has an indemnity claim against the debtor. Article 1933 provides that (1) where the person undertaking the guarantee described himself as joint guarantor, co-debtor, or used equivalent, terms, and the creditor may sue him without previously demanding payment from the debtor or realizing his securities. (2) The relevant provisions of this Chapter shall apply to joint guarantee.

When a guarantor holds himself as a joint debtor or co-debtor or uses a similar phrase, or if he states that he is liable together with the debtor or even that the creditor can claim payment from him prior to claiming payment from the debtor, then it is established joint obligation between the guarantor and the debtor. I.e. the debtor and the guarantor are jointly liable towards the creditor. The creditor can claim payment from either the debtor or the guarantor. In this case, there is no benefit of discussion. So, the principle of joint and several liabilities is applicable to such cases. The fact that there are real securities is not a defense. In the case of simple surety, if there are securities provided, they can be part of the benefit of discussion. But, in the case of joint surety, the existence of securities is irrelevant.

Article 1938 provides that (1) where the primary obligation has fallen due, the guarantor may demand that the creditor sue the principal debtor within six weeks for the enforcement of his rights. (2) The guarantor shall be released where the creditor fails to comply with this summons or to continue the proceeding with reasonable diligence.

Summon to proceed is simply the case where the guarantor requires the creditor to proceed against the debtor within 6 weeks time. But, to this end, the primary obligation must fall due. Unlike in the case of benefit of discussion, the guarantor is not required to provide anything. He is simply required to advise the creditor to proceed against the debtor. But, in this case, the creditor himself covers the legal costs. He bears all the costs of litigation. Suppose that the guarantor has advised the creditor to proceed against the debtor. But, on the day on which the case was at hearing, the creditor fails to show up in the court. On the day the case is adjourned for hearing, the court has two options. One is that when the defendant denies all the allegations of the plaintiff, then the court will dismiss the case. If the defendant admits part or all of the claim of the plaintiff, then no matter the plaintiff is not in the court, the court render decision in favor of the plaintiff. Assume, in this case, the defendant has denied the claims of the plaintiff and the court has dismissed the case. But, if the creditor comes up with a sufficient ground, he can get the case reinstituted. If the creditor has no good cause, he will lose the case and he cannot resort to the guarantor for payment. . So, from as of the

time of institution down to the time of execution, he should follow the case diligently.

Article 1939 provides that (1) where the primary obligation has fallen due, the guarantor may require that the creditor accepts the payment from him. (2) The guarantor shall be released where the creditor does not accept such payment or refuses to transfer to the guarantor the securities he enjoys. Tender of payment refers to offering payment to the creditor. When the guarantor offers payment to the creditor, the creditor is required to accept those payments. If the guarantor comes up with payment, as he has an indemnity claim against the debtor, he requires all documents supporting the debt, receipts or securities, if any, from the creditor. Refusal to hand over documents supporting the debt or to transfer securities amounts to refusing to honor payment. There is a so-called presumption of payment. If the creditor gives the documents supporting the claim to the debtor, it is presumed that the debtor has effected payment. I.e. handing on document supporting the debt amounts to giving receipt.

Article 1940 provides that (1) the guarantor who has paid shall be indemnified by the principal debtor, whether the guarantee had been given with or without the latter's knowledge. (2) Such indemnity claim shall apply to the principal, interest and costs incurred. (3) The guarantor may claim to be refunded with such costs only as he incurred since he notified the principal debtor of the proceedings directed against him.

The guarantor has an indemnity claim against the debtor to the extent he has paid. He might have paid only the principal or he might have paid the principal and the interest and so on. We've earlier said that we do not need the consent of the debtor to guarantee the claim of the creditor. Because, he is not a contracting party of the guarantee contract. During indemnity claim, the guarantor will be legally subrogated to the position of the creditor and exercise the right of the creditor. Such indemnity claim shall apply to the principal, interest and costs incurred. For the guarantor to claim legal costs from the debtor, he has to inform the debtor of the fact that he has been preceded by the creditor. If he fails to inform the debtor, then, he loses his right of indemnity.

Article 1941 provides that (1) the guarantor may claim damages from the debtor where it was owing to the latter's fault or negligence that the guarantor had to pay the creditor. (2) The amount of such damages shall be fixed in accordance with the rules laid down in Chapter 2 of this Title (Art. 1790-1805). Knowing whether the debtor's fault or negligence that the guarantor had to pay the creditor is usually the issue of morality. Committing the fault may be intentional or there may be indifference on the part of the debtor. So, the guarantor is required to prove negligence or intention. It must be noted that we are not trying to prove criminal fault but civil fault. We have to understand it in light of tort provisions. In connection with this case, Looking into articles 2027 and 2028 and the followings is advisable. Of course, guarantor's claim against the

debtor is not a strict liability. It is simply a fault based claim. He has to show fault on the part of the debtor. Calculation of the damage must be conducted on the basis of article 1790-1805. If the guarantor has paid money, then the guarantor is entitled to claim damage in the form of interest. If it is another mode of payment, depending on the circumstances of the case or depending on the contract, we assess actual or special damage.

Article 1942 provides that (1) the guarantor has the right and the duty to set up against the creditor all the defenses available to the principal debtor unless they are excluded by the nature of his guarantee. (2) The guarantor who fails to set up such defenses is debarred from his remedy in so far as they would have relieved him of payment. (3) The provisions of sub-art (2) Shall not apply where the guarantor can prove that he was in ignorance thereof without his fault.

The guarantor has to exercise all the defenses available to the debtor. Failure to invoke such defenses will cause the guarantor to lose his indemnity claim. But, there is one exception for this. I.e. for the guarantor to invoke the defenses available to the debtor, he must be cognizant of the existence of those defenses. The purpose of giving notice to the debtor that the guarantor has been preceded against (1940/3) is not limited only to claim legal costs but also it will help the guarantor to learn more about the defenses available to the debtor. And the debtor may inform the guarantor of any defenses available to him

such as novation, payment, set-off and so on. If the defenses cannot exonerate him, he will collect legal costs from the debtor. Unless the guarantor is not aware of defenses available to the debtor, he may not only lose his indemnity claim but also he may be subject to second payment.

The guarantor will lose his indemnity claim if the debtor pays a second time because the guarantor failed to inform him of his own payment (1942). Of course, he may claim from the creditor what he unduly received from the debtor. On the other hand, if the guarantor has effected second payment, then he can claim it from the creditor by invoking undue payment under extra-contractual loan. See article 2164 and the followings to understand undue payment. But, Recovery shall not be admitted where a person pays voluntarily and in full knowledge of the facts what he knew he was not bound to pay (2165).

Article 1944 provides that (1) the guarantor shall be subrogated to the rights of the creditor to the extent of his payment to him. (2) The benefit of such subrogation may not be waived in advance. The right of subrogation cannot be contracted out.

Article 1945 must be read together with article 1939. For the subrogation to be fulfilled, the creditor shall hand over the documents of title to the guarantor who pays him and perform such formalities as will

enable the guarantor to exercise his remedy and realize the securities available to the creditor (1945).

Where subrogation is rendered impossible by the creditor, the guarantor shall be relieved of his obligation towards the creditor where the guarantor's subrogation to the rights, mortgages and liens of the creditor can no longer be effected owing to the creditor's act or omission (1946).

Article 1947 provides that (1) Where the debtor becomes bankrupt the creditor shall prove in the bankruptcy. (2) He shall inform the guarantor of the bankruptcy as soon as he is aware of it. (3) Where the creditor fails to comply with these rules, he shall lose his rights against the guarantor to the extent of the latter's loss resulting from such failure.

Proving that the debtor is bankrupt is left for the creditor. In the case of simple surety, when the debtor is declared bankrupt, the guarantor cannot exercise his benefit of discussion. The creditor has to prove the debtor's bankruptcy and inform the same to the guarantor as soon as possible. This enables the guarantor to participate in the liquidation process. After the liquidation, the guarantor may not get anything due to the existence of preferred creditors.

Article 1948 reads, The guarantor, even before he has paid, may take action against the debtor and demand securities from him where: (a) the debtor has been given notice to pay his debt. (b) the debtor has been

declared bankrupt. (c) either by reason of the losses the debtor has suffered or as result of a fault committed by him.

The guarantor runs a considerably greater risk when he undertook the guarantee. The guarantor may require the debtor to produce security when the debtor is put in default and does not move to effect payment. The guarantor has also a right to claim securities when the debtor is declared bankrupt. Assume that when the guarantor contract was concluded, the financial position of the debtor was really good. But, eventually, the debtor's financial position came to decline considerably. Though, the debtor is not declared bankrupt. So, when the assets of the debtor is declining in a very considerably rate, the indemnity claim of the guarantor will also be at stake. In this case, even if the debtor is declared bankrupt, he can require the debtor to produce securities. If the debtor refused to produce securities, there is no sanction to be imposed upon him. Rather, it depends solely upon the will and the whim of the debtor.

Article 1949 reads the counter-guarantor guarantees towards the guarantor the effectiveness of his indemnity claim against the principal debtor. Counter guarantor is a guarantor who guarantees the indemnity claim of the guarantor against the debtor. In order to make sure that the guarantor will be indemnified at the end of the day, the debtor may be called upon to produce a secondary guarantor or a willing person might bind himself as a counter guarantor. The counter guarantor takes the

same position with the principal guarantor. I.e. the principal guarantor is liable towards the creditor and the counter guarantor is liable towards the principal guarantor. In the case of principal guarantee contract, the contract is signed between the principal guarantor and the creditor. In the case of counter guarantee contract, the contract is concluded between the principal guarantor and the counter guarantor. The legal relationship existing between the principal guarantor and the creditor exists between the principal guarantor and counter guarantor as well.

Article 1950 provides that (1) a person may stand surety not only for the principal debtor but also for his guarantor. (2) The secondary guarantor shall be in the same position towards the guarantor as a simple guarantor is towards the principal debtor. (3) Merger between the principal debtor and the guarantor shall not extinguish the creditor's right of action against the secondary guarantor.

Secondary guarantor is provided to make sure that the creditor is paid at the end of the day. No matter a guarantee contract might have been provided, the guarantor may not be in a position to satisfy the claim of the creditor. So, another guarantor may be called upon to guarantee the guarantor's obligation. If the debtor fails to effect payment, the creditor shall hold the first guarantor liable to the obligation unpaid by the debtor. If the first guarantor fails to discharge his obligation, then the secondary guarantor shall be liable with a view to discharging the obligation that should have been effected by the first guarantor. The first

guarantee is given for the obligation of the debtor and the secondary guarantee is given for the obligation of the first guarantor. Unlike the contract of counter guarantee, the secondary guarantee contract is entered into between the creditor and the secondary guarantor. If the creditor's claim cannot be satisfied by the first guarantor, he will move to satisfy his claim by the secondary guarantor. This is done only to protect best interest of the creditor. The relationship between the principal guarantor and the secondary guarantor is similar to the relationship that exists between the principal guarantor and the principal debtor. The secondary guarantor is, in effect, bound for the obligation of the debtor through the principal guarantor.

Even if the position of the counter guarantor and the debtor is merged, the indemnity claim of the principal guarantor shall remain intact. But, if the position of the principal guarantor and the counter guarantor is merged, the obligation of the counter guarantor shall be extinguished. In the case of secondary guarantee contract, if the position of the principal guarantor and the principal debtor is merged, the claim of the creditor will be subject to nothing harmful.

Article 1951 with regard to Plurality of guarantors reads, (1) where several persons became at the same time guarantors of the same debtor in respect of the same debt, each of them shall be liable as simple guarantor for his share and as secondary guarantor for the shares of the others. (2) Where the guarantors entered into their undertakings by

successive acts, he who bound himself in the second place shall be held liable as secondary guarantor of the guarantor who bound himself before him. (3) Where the guarantors expressly bound themselves as joint guarantors either with the principal debtor or as between themselves, each of them shall be answerable for the whole debt, subject to contribution from the others proportionate to their shares.

There may be more than one guarantors entered into a guarantee contract for the same debtor in respect of the same debt at the same time. This is usually possible when the guarantee is provided in a single document. If the guarantee is not provided for in a single document and has not to be signed at once, the element of being at the same time may not be fulfilled. In such cases, each of the guarantors shall be liable for their own respective share as a simple guarantor and for the share of others as a secondary guarantor. If the guarantors have provided for a different share in their contract, their share is determined by their contract. But, if they do not define the extent of their share and hold themselves liable to the whole amount of the debt, then like that of joint debtors, parity of share is presumed. From this point of view, we can understand that the principle of several liabilities is inserted under article 1951/1.

The creditor is expected to hold a single guarantor liable only to the extent of his share. If he claims the whole from a single guarantor, then the guarantor may plead benefit of division as a defense. If the creditor wants to nullify or avoid the defense of benefit of division by the

guarantor, he has to show that the other guarantors are not in a position to discharge their obligation. This is because, if the other guarantors are not in a position to pay, then the guarantor who is capable of effecting payment is liable for their share as a secondary guarantor. In such a case, he cannot have benefit of division. This is when the guarantee is provided at the same time.

Sometimes, the guarantee may be provided successively or one after the other. In that case, the guarantor who enters into the guarantee contract in the second place shall stand as a secondary guarantor for those who come before him. So, in order to determine as to who is a secondary guarantor for whom, we should look into the time at which they entered into the guarantee contract. Note must be taken that under sub-article 1, there is a secondary guarantee relationship among all the guarantors. On the contrary, under sub-article 2, there is no secondary guarantee relationship among all the guarantors. Especially, the one who enters into the guarantee contract first stands as a secondary guarantor for none of the guarantors who come after him.

The other important point to be noted here is that sub-article 1 and sub-article 2 tell us about simple surety. But, sub-article three is concerned with joint surety. Where there are more than one guarantors, they may bind themselves as a co-debtor or as a joint guarantor. Then, the situation in which each guarantor is liable for the whole debt shall occur. Of course, the one who has paid in excess of his share can claim to the

extent of the excess he has effected from non-paying guarantor. In general, for joint guarantors, the law adopts the principle of joint and several liabilities and for the simple guarantors, the law adopts the principle of several liabilities.

Contract in relation to third parties

Article 1675 defines contract as a contract is an agreement whereby two or more persons as between themselves create, vary or extinguish obligations of a proprietary nature. In this definition, the phrase as between signifies that the contract is binding only the contracting parties. Similarly, pursuant to article 1731/1, the provisions of a contract lawfully formed shall be binding on the parties as though they were law. This provision implies that a contract doesn't affect third parties for it is only the law of the parties. If mister A buys a car from mister B, then he can demand delivery not from his friends, his wife, his son or father but from Mister B only. The seller, Mister B, on the other hand, can demand payment only from Mister A not from his wife his son or father no matter how close relative they may be. But, there are exceptions to this principle.

Article 1952 regarding relative effect of contract reads, (1) except in the cases provided in this Code, contracts shall produce effects only as between the contracting parties. (2) Nothing in this Article shall affect the provisions relating to extra contractual liability (Art. 2056). (3)

Nothing in this Article shall affect the provisions relating to agency (Art. 2179-2265).

By disregarding contractual liability, whosoever is aware of the existence of a contract between two other persons is considered to have committed an offence if he enters into a contract with one of those persons thereby rendering impossible the performance of the first contract(2056). However, He shall not be liable if the party complaining of the breach of the first contract has failed to take the necessary measures which would have ensured the effective performance of that contract. If two parties have entered into a contract and that is known to the third party, such third party must refrain from undertaking activities that hinders the regular performance of the contract. Suppose that Mister X buys a house from Mister Y for one million ETB. Then, prior to delivery and transfer of ownership, if Mister Z who is cognizant of the sale contract comes and buys the same house from Mister Y, it is impossible for Mister X to get performance. In this case, Mister Z, as far as he is cognizant of the existence of the sale contract, is committing fault. So, even if Mister Z is not a contracting party of the former contract, he is answerable for whatever damage that may be sustained by Mister X due to the fact that he rendered the performance impossible.

Agency relationship is also another issue that must be raised here. In the case of agency relationship, parties are three in number. The agent normally acts on behalf of the principal. There are two kinds of

agencies, disclosed agency and undisclosed agency. By disclosed agency, we mean that the third party is told that the man engaging with him is an agent and the agent is acting on behalf of the principal. The fact that the man engaging with the third party is an agent is disclosed by the agent himself. In these scenarios, the agent is a bridge connecting the principal with the third party. Since he is giving his consent on behalf of the principal, the contract is effective between the principal and the third party. The agent disappears as soon as he connected the two. By the time the contract was negotiated and the consent was given, the principal was not there. Though, the contract is deemed as if it was made between the principal and the third party. If the agent, X, negotiates the sale of a house on behalf of the principal, Y, then the seller of the house, Z, is a third party. The sale contract is effective between Z, the seller, and Y, the principal. Z, the seller, is a third party to the agency contract until the sale contract takes effect. But, to the sale contract, unlike Z, the seller, and Y, the principal, the agent is the third party. Article 2189 with regard to disclosed agency reads, (1) Contracts made by an agent in the name of another within the scope of his power shall be deemed to have been made directly by the principal. (2) The principal may avail himself of any defect in the consent of the agent at the time of the making of the contract. (3) Any fraud committed by the agent may be set up against the principal by the third party who entered into the contract with the agent.

In the case of undisclosed agency, the agent is acting in his own name and on his behalf. So, the contract is effective between the agent and the one engaging with him. The principal can substitute himself for the agent after he has discharged his entire obligation towards the latter. There are cases where the non-contracting party or the party who does not give his consent derives benefit from the contract or undertakes an obligation from the contract. This situation is, in the civil law system, termed as the principle of relativity of contract while in the common law system, it is termed as the principle of privity of contract. Those cases are option to substitute a third party, promise that a third party discharges a certain obligation, stipulation for the benefit of third party, and assignment of rights to another person, delegation, subrogation and heirs.

Article 1953 reads, at the time of the making of a contract, a party may reserve the option to substitute for himself another person assuming the rights and obligations under the contract. Andualem and Bekele entered into a lease contract. Bekele, the lessee, reserved that he has the right to substitute himself for Chala. After the substitution, the contract takes effect between Andualem and Chala, the substitute. But, Chala did not give his consent to the contract and negotiate the price. Rather, this became possible by the reservation of Ato Bekele to substitute himself for Chala.

Article 1954 dealing with the effect of option to substitute reads, (1) where the appointment thus provided is made within the following three days, the contract shall be effective as if it had been entered into by representation. (2) Where the appointment is not made within three days, the contract shall be effective as between the parties who made it.

If Bekele substitute himself Chala within three days, Bekele is regarded as an unauthorized agent of Chala. The contract is also effective as between Andualem and Chala. If the substitution is not made within three days, Bekele cannot avoid the contract. Bekele was not conferred any power from Chala. Hence, Chala should ratify the substitution so that the power defect is healed and Bekele be regarded as an agent. This arrangement is made for the purpose of facilitating transaction in the case of situations where representation is not possible.

Ada who is living in America has a desire to buy a house here in addis. Sada, the friend of Ada got a type of house needed by Ada which was to be sold in a very shorter period. In this case, Sada cannot wait for Ada to come within three days with a view to representing Sada. On the other hand, representation for a house could not be made orally. In such a time, such arrangement could be resorted. Often, it is beneficial not to mention the would be substitute. Because, the mentioned substitute may be refused to ratify the substitution. If there is mention of no substitute, the one who has reserved the right to substitute can resort to another substitute.

Article 1955 reads, a party may stand promisor for a third party by an act or omission by the said third party. B may promise for A that C would provide a servitude right to him on his piece of land. A person who has provided a servitude right for another should refrain from preventing the owner of dominant tenement to use. B may also promise for A to A that C would send his car to the latter. The one on whose behalf the promise is made has two options. I.e. he either ratifies or refuses the promise. If he accepts the promise, then he submits himself for the servitude contract. If he did on the contrary, the servitude contract would never take effect. When C accepts, B will be released and he will be considered only as an agent. The contract takes effect between A and C who was a third party. If there is non-performance, A claims damage from C not from B because B does not guarantee the performance. B will not be compelled to perform what he has promised that C is supposed to perform. But, if C refuses to ratify the promise of A to B, B will be liable for any damage that may be sustained by A as a result of the non-ratification of the promise.

Unlike option to substitute, in the case of promise, the one who has to perform the obligation is clearly set. This obligation may be action or inaction. At what time, that the third party has to ratify is not provided here. But, it seems to be valid to lend the time of ratification from agency provision. By the same token, A can require from C whether he would ratify the promise given by A to B or not immediately. Pursuant to

article 2191, the third party having entered into the contract with the agent may demand that the person in whose name the agent acted immediately declares whether he intends to ratify or to repudiate the contract. Failing immediate ratification, the contract shall be deemed to be repudiated. B is claiming that he is acting as an agent of C, the third party. On the other hand, A knows for sure that B is acting without power. The act will bind C only when C ratifies the promise given by B, the promisor.

Article 1957 reads, Parties to a contract may stipulate that one of them shall perform an obligation for the benefit of a third party. Stipulation is the case where the contracting party stipulates the benefits to a third party. Stipulation is completely associated with benefits or rights. The third party (the non-contracting party) demands performance from the debtor and collects benefits therefrom by virtue of stipulation. The party who stipulates shoulders the obligation. In this case, he reserves the obligation for himself; but, he gives the benefit for the third party. So, the party in favor of whom the stipulation is made is not a contracting party. He demands performance from the debtor simply by virtue of the stipulation. Because, at the end of the day, the contract affects him.

Article 1958 provides that (1) Unless otherwise agreed, he who stipulates for the benefit of another may reserve for himself the benefit of the contract or appoint a new beneficiary under the stipulation, as long as the option shall not been offered to the third party mentioned in

the contract, or where the said party has refused the benefit of the stipulation. (2) Where the beneficiary of the stipulation has accepted it, the stipulator shall retain the right to vindicate the rights resulting from the non-performance of the contract where the promisor fails to perform his obligation. Like In the case of option to substitute a third party, here the stipulating party is simply stating in the contract that he is undertaking the obligation for the benefit of a third party. He can designate the beneficiary afterwards. Or he may clearly designate the beneficiary in the contract but reserves the right to retain the benefits for himself a) before informing the beneficiary, b) when the beneficiary refuses to honor the benefit. The stipulator, depending on his wish, may decline to call the attention of the third party to take the benefit. Or he might communicate the stipulation to the third party. The third party is not under obligation to honor the stipulation. If the third party refuses, the benefit goes to the stipulating party. But, it can be contractually agreed otherwise that the stipulating party cannot retain the benefit for himself. Assume that the third party has accepted the stipulation. In this case, the third party can demand payment from the debtor or non-stipulating party. If the debtor fails to discharge his obligation, the stipulator himself can invoke non-performance. We can also infer from article 1957&58/1 the beneficiary, the third party, can invoke non-performance as well. Because, if he is the beneficiary, he should have the right to demand payment and invoke non-performance. The

stipulator or the beneficiary can vindicate himself from the rights arising out of non-performance. I.e. he can demand specific performance, damage or cancel the contract.

Article 1959 reads, the person for whose benefit the stipulation was made may, when the option is offered to him in accordance with the contract, accept or refuse as he pleases the benefit of the stipulation. The fact that the beneficiary is not under obligation to accept the stipulation is clearly put under this article. I.e. the acceptance depends upon the will and whim of the beneficiary. There has to be an agreement between the parties in the contract in order that the stipulator retains the benefits for himself or appoints a new beneficiary in case the beneficiary rejects the stipulation.

Article 1960 provides that (1) where the obligation undertaken by the promisor is to be performed upon the death of the stipulator, the person whom the latter appointed as beneficiary of the stipulation shall, where he claims the benefit of the stipulation, acquire his right against the promisor on the day of the stipulator's death. (2) The heirs of the stipulator may not revoke the appointment made by him of the beneficiary of the stipulation. This resembles donation mortis causa. Because, the beneficiary takes benefit when the stipulator passes away. The heirs of the deceased have no right to revoke the appointment made by the stipulator.

Article 1961 reads, (1) upon his acceptance, the beneficiary of the stipulation shall irrevocably acquire the rights which the contract confers upon him as against the promisor. (2) The promisor may not set up against him any defenses of a purely personal nature which he may have against the stipulator. Once the beneficiary has accepted the benefit, then the right would be irrevocable. Acceptance cannot be revoked (990). The promisor promises the stipulator to give benefit to the beneficiary. So, the promisor is the person who undertakes to give benefits to the third party as ordered by the stipulator. For example, Yohannes wanted to purchase a house from Sisay for the benefit of Ezra. In this case, the stipulator, Yohannes, shall assume the obligation of effecting the price of the house. But, the benefit of ownership goes to the beneficiary, Ezra. The third party, Ezra, is called upon here only to take the benefits. The stipulator undertakes the obligation in leu of the beneficiary. In the case of promise, we've said that the promisor promises that the third party undertakes something. If that third party accepts the promise, he takes the benefits and assumes the obligation. But, in the case of stipulation, we call upon the third party to take benefit but not to assume the obligation. This resembles donation in that it is another form of giving something to another. In the case of donation, the donor assumes all obligations towards the donee. In the case of stipulation, however, it is another person, the promisor, who discharges the obligation towards the beneficiary, the third party. The stipulator simply undertakes the

obligation towards the promisor and the promisor assumes the obligation towards the beneficiary. In the case of stipulation, like that of remission, people may refuse to accept the benefit simply with a view to maintaining name and honor as well as owing to other motives.

Assignment of rights. If a person holds a chair, he has, on that chair, *usus*, *fructus* and *abusus* right against the whole world. Because, the right he has on the chair is a real right. If he wants to pass the ownership to another person, he can sell it. A physical thing is usually subject to sale. On the other hand, if someone has a claim of 100,000 ETB against a person, he can assign it. Because, a claim is related to assignment while a physical thing is related to sale. There are three parties for an assignment contract. Yohannes has purchased a house from selomon. As soon as the sale contract has been concluded, Yohannes has a right in *personum* against Selomon. He can force Selomon to perform what has been promised in the contract. Yohannes, instead of claiming performance by himself, can pass it to another person, Lemma. The third party, Lemma, doesn't consent to the sale contract; he consented only to the assignment contract. The assignment contract was concluded between Yohannes and Lemma. Even if he didn't consent to the parent contract, he has been brought into the picture by virtue of an assignment. Once Yohannes has assigned his right to lemma, lemma will take yohannes's position and can claim everything in the contract from

selomon. In this case, selomon is the debtor; Yohannes is the assignor and Lemma is the assignee.

It must be noted that all claims cannot be assigned. Article 1962 reads, a creditor may assign his rights to a third party without the consent of the debtor, unless such assignment is forbidden by law or the contract, or is barred by the very nature of the transaction. There are instances where a right cannot be assigned. For instance, pension or maintenance is given for the purpose of social security. If any of them is to be assigned, then their purpose is going to be defeated. Unliquidated damage cannot also be assigned (2146). It reads (1) the victim's claim against the person liable for the damage may not be assigned so long as it has not been upheld by a decision of the court and the amount fixed. (2) It may thereupon be assigned in accordance with the provisions of Art. 1962-1975. to liquidate means to know the extent of the damage sustained. The liability may be determined by mutual agreement between the tort fuser and the victim. If there is agreement on the liability, there is another agreement we need to reach on the amount of the damage. If there is disagreement on the amount of the damage, then the court shall decide thereupon. So, until the damage is liquidated, no one can assign his tort claim. Assignment can also be barred by contract. This relates to freedom of contract. Even if it is legally possible for a claim to be assigned, the parties may contract it out. Assignment may not be possible by the nature of the contract or transaction. There are contracts

where the identity of the person is vital. If we enter into a contract in consideration of the person, then the rights in such contract cannot be assigned. We form Partnership with whom we have a special trust and confidence. So, it is impossible to assign one's right under an agreement of partnership. We can also say that all contracts involving professional services cannot be subject to an assignment. If a contractor sub-contracts to another contractor, the sub-contractor shall retain both the obligation and the benefits. In professional contracts, there are cases in which, by custom or norm or practice, is possible to sub-contract or delegate. For example, a contractor who entered into a contract of constructing road may sub-contract to another contractor the duty to construct all bridges along such road. This indicates that some times assignments which may not look possible may be possible to be assigned by custom or norm.

Article 1963 reads, Arrears of interest shall be deemed to have been assigned with the principal of the debt. When an assignment is made, it relates to the principal debt and the interest thereof.

Article 1964 provides that (1) where the assignment is for consideration, the assignor shall guarantee the existence of the right at the time of the assignment. (2) He shall not guarantee the solvency of the debtor, unless he expressly accepted such liability. (3) Where the assignment is gratuitous, the assignor shall not guarantee the existence of the right. An assignment may be for consideration or gratuitous. The obligation of the

assignor, in the case of assignment for and without consideration, varies considerably. If it is for consideration, the assignor guarantees the existence of the right at the time of the assignment. If the contract between the assignor and the debtor is void and at the same time, if the assignor assigns the rights in such contract to the assignee for consideration, the assignor is liable and cannot guarantee a non-existent contract. In this case, he shall reimburse the assignee and compensate him if there is damage. A creditor has lent 200,000 ETB to a debtor which is going to be paid within three months. The creditor is, however, in need of money very badly before the debt is matured. He could not also find anyone to lend. Then he entered into an assignment contract by which the assignee gives him 180,000 ETB. In this contract, the assignee was made to collect the 200,000 ETB from the debtor. But, had the contract been void, the assignee would not have recovered it from the debtor. Of course, he can be refunded by the assignor the 180,000 ETB+damage if any. Suppose that the contract was valid; but, the debtor fails to pay the 200,000 birr to the assignee. In this case, the claim of the assignee does not stand against the assignor but the debtor. In as far as the right of the assignor is valid or exists at the time of the assignment, the assignor cannot have further obligation whether the debtor discharges his obligation or not. In short, the assignor doesn't guarantee performance. But, if he wishes to guarantee performance, he can contractually make himself bound to guarantee contract. If the

assignment is for free, the assignor is not bound to guarantee the existence of the right to be assigned. In both cases, the assignor is not duty bound to guarantee performance or solvency of the debtor.

Article 1965 reads, (1) an assignor bound by the guarantee shall be liable to the assignee only to the extent of the amount he received in principal and interest. (2) He shall in addition be liable for the costs of the assignment and of any unsuccessful proceedings against the debtor. The assignor is liable to the amount he has collected from the assignee and damage or costs to the assignment and unsuccessful proceeding. The sanction for article 1964 is provided under article 1965.

article 1966 reads, (1) The debtor may set up against the assignee, as he could have done against the assignor, any defenses which were available to him upon his becoming aware of the assignment. (2) Where he had a claim against the assignor which was not yet demandable at the time, he may invoke a set-off, provided his claim does not fall due later than the assigned claim does. The debtor can invoke any defense against the assignee which he could have invoked against the assignor at the time he became aware of the assignment. Assume that the debtor entered into a contract under deceit. In this case, the debtor can invoke deceit as of the time he came to know of the fact. If, when he became cognizant of the assignment, he has not known that he has been deceived, he cannot invoke such defenses against the assignee. I.e. if he found the mistake after he came to know of the assignment, he risks at losing his right to

invalidate the contract. The debtor, had he already known the fact, should announce to both the assignor and the assignee the defense he knew at the time of the assignment.

Article 1967 provides that (1) the debtor shall be released where, before the assignment was brought to his knowledge either by the assignor or the assignee; he pays the assignor in good faith. (2) Where the same claim had assigned to several assignees, regard shall be had to the date on which the assignments have been notified to the debtor or agreed by the latter in a document with an authenticated date. (3) The debtor shall pay to the assignee that avails himself of the earliest date. We've repeatedly said that payment in good faith is valid. The assignor and the assignee are advised to inform the debtor the fact that the claim is assigned. Not only that, they have also to do it rightaway. If they do not do so, and at the same time, if the debtor effects payment to the assignor, the payment is valid despite the fact that it is unqualified. Because, the debtor made payment to unqualified person, the assignor, in good faith. In this case, the remedy for the assignee is to claim performance against the assignor. There is also a possibility where a claim may be assigned to several assignees. In this case, the one who informed the debtor first that the assignment has been made shall be paid first. Because, he will have a preference right over the other assignees. The debtor may also agree to effect payment to any of the assignees in an authenticated document. Note must be taken that an assignment doesn't require any

prescribed form and hence can be made in any form. By an authenticated document, we refer to a document signed before a notary acting in his duty. In such a case, it is impossible to dispute the content of such document. The debtor may also sign the document without going to a notary; but, he will have to register the document by taking it before a notary for authentication. The notary, on his part, shall authenticate the document whether it is legally sufficient or valid in its content and identity of the parties. At federal and regional level, the document authentication and registration office and regional justice bureau are responsible for such purpose respectively. Article 2015 regarding authentication reads, an instrument shall acquire an authentic date. (a) Where the instrument was drawn up or received by a public officer, at the date of its drawing up or reception. Or (b) where the instrument is referred to in another instrument drawn up or received by a public officer, at the date of the drawing up or reception of the other instrument. Or (c) where one of those who signed the instrument has died or become physically incapable of signing it, at the date of the death or of the occurrence of the incapacity. When all the assignees do not let the debtor know in advance, and come to take payment at the same time, the debtor shall look into the authenticated document. Then, he who has already made the document be authenticated shall be preferred. But, even if there is an authenticated document, if there is any

assignee who brought the assignment to the knowledge of the debtor first, the latter shall be preferred over the others.

Article 1973 as to effects of an assignment or subrogation provides that (1) the subrogated creditor or the assignee of a right may exercise the liens, securities and other accessory right attached to it. (2) He may not enter into possession of the thing received in pledge by the creditor without the consent of the pledger.

The assignee will enjoy all the rights of the assigner. The rights may relate to the pledge, mortgage, liens or the principal including the interest thereof. But, there are exceptions in which the assignee cannot enter into the possession of the pledge without the consent of the pledger. We've just seen the warrantee which should be given by the assignor to the assignee to guarantee the existence of the right to be assigned. In addition to that, an assignor has to hand over the documents supporting the claim and facilitate the transfer of the securities related to the claim.

The other instance in which a third party can be affected by a contract to which he has never been a party is subrogation. Subrogation is simply when a third party takes up the position of the creditor whom he has paid. In this case, all the rights of the creditor devolve on to the third party and the third party enjoys the rights that could have been claimed by the creditor against the debtor. We can identify two kinds of

subrogation, subrogation by law and subrogation by contract. There are instances where subrogation is made possible by the operation of the law. This is, for example, the case that may be happening in the guarantee contract. A guarantor who pays on behalf of the debtor subrogates himself for the rights of the creditor and enjoys all the benefits thereunder. Where there are more than 1 debtor, we regard them as co-debtors and they are jointly and severally liable unless they define the nature of their obligation in their contract. In this case, the creditor can satisfy him from any of the co-debtors. Then, a co-debtor who pays in excess of his share has the right of indemnity against the rest. This indemnity claim is exercised by taking the position of the creditor. We can also envisage a case of, for instance, an acquirer, a person who bought an encumbered property. An encumbered property is a property which is attached, pledged or mortgaged. The acquirer who tends to own the property which is encumbered by a real right can pay the creditor (3095). It reads, (1) where the immovable is attached in the hands of the person who acquired it, such person shall be subrogated to the rights of the mortgagee. (2) He may not avail himself of such subrogation to the detriment of third parties who have acquired for consideration, from the debtor or guarantor, an immovable intended to secure the debt. Article 2837&38 deals with the same issue but related to pledge. A person who acquires a mortgaged property can prevent the mortgagee from realizing the property by effecting payment. A debtor or any other third party has

mortgaged his house to secure the claim of the creditor. Then, the debtor called *dudu* or the third party called *sostegna* who has mortgaged his property has alienated it to another third party called *arategna*. In this case, if the creditor is not paid, he can discuss or move the court to dispose of the house and benefit from the proceeds. But, by the time the creditor tends to realize the house, the house belongs to *Arategna*. When the creditor moves the court to realize the house, the acquirer can effect payment to the creditor and thereby subrogates himself for the rights of the creditor. At the end of the day, the acquirer, *Arategna*, can claim payment from either the debtor or *sostegna* or even both. We can also think of a case where a given property is mortgaged successively. In the above case, the debtor may have two creditors and he may have mortgaged the house to both creditor 1 and creditor 2. Though, creditor 1 has registered his right first than creditor 2. So, creditor 1 is preferred to creditor 2. When creditor 1 attempts to realize the house, creditor 2 can effect payment to creditor 1 and subrogate him for the rights of the latter (3087). The issue of pledge takes the same fashion.

The other point is the case of co-heirs. An heir who accepts the inheritance is under a duty to discharge the debt of the inheritance. In this case, if there is more than 1 heir, then they are regarded as co-debtors. The heir who has paid the debt can take the position of the creditor and claim from the inheritance itself. If the inheritance is liquidated and distributed among the co-heirs, then the paying heir can

claim payment from each of the co-heirs. These are some instances where by legal subrogation may be provided.

The second scenario is subrogation by contract. Subrogation by contract is of two types, subrogation by the creditor and subrogation by the debtor. In the former case, the contract is entered into between the creditor and the third party, the subrogee. The person who takes the position of the creditor is referred to as subrogee. The creditor can agree with another person himself being a subrogor. To this end, the third party, the subrogee, has to pay the creditor (1968). It reads, (1) A creditor who is paid by a third party may subrogate him to his right. (2) Subrogation shall be express and effected at the time of payment. The mere fact that the third party has paid the creditor cannot be regarded as subrogation. The agreement between the creditor and the subrogee must be express. I.e. there is no presumption of subrogation. It has to be stated in their contract that the third party is paying the creditor to take the position of the latter so that he will be subrogated for the rights of the creditor. It should also be done at the latest at the time when the payment is effected. The creditor cannot subrogate another person after he has been paid. The subrogation either should precede the payment or at the latest by the time the payment is effected. In this case, it is similar to that on which a marriage contract is concluded. A marriage contract should be concluded before or at the time of celebration.

The other point is the case where the debtor subrogates a third party. Article 1969 provides that a debtor who borrows money or other fungible things to pay his debt may subrogate the lender to the rights of the creditor, even without the consent of the latter. This is again a contract between the debtor and the third party, the subrogee. Here, the debtor borrows money from a third party to effect payment towards the creditor. Therefore, the debtor can subrogate the lender for the rights of the creditor. Article 1970 provides that (1) Subrogation by the debtor implies that the instrument evidencing the loan bears an authenticated date and that the use of the sum lent to expressly specified therein. (2) The receipt for the payment shall bear an authenticated date and include an express statement that the payment was made by means of the borrowed money. (3) The creditor may not refuse to include this statement in the receipt where the debtor so requires him. The loan contract between the debtor and the lender has to be of an authenticated date. To this effect, it has to be done before a notary and the purpose of the loan has to be stated in the contract. Again, when the debtor pays the money which he has borrowed from the lender towards the creditor, he has to demand a receipt from the latter. He has also to demand the creditor to state in the receipt the fact that he is paying him by borrowing money from a third party. This helps to evidence the fact that the debtor has subrogated the third party in the position of the creditor. Otherwise, the fact that the debtor simply borrows money from the third party and

effects payment towards the creditor cannot subrogate the lender in the position of the creditor. In short, for subrogation by the debtor to come true, the conditions laid down under article 1970 should be met. The subrogation contract between the debtor and the third party, the subrogee should be undertaken before a notary or at least be registered by the competent authority. Because, unless it is done before a notary or registered by the competent authority, it cannot have an authenticated date. In that document, the purpose of the borrowing money has to be stated. In general, in the case of subrogation by the creditor, the only requirement is that their intention must be clear and the subrogation should not follow the payment. I.e. it should precede the payment or at least it should be done with the payment. But, in the case of subrogation by the debtor, there are other conditions.

What is the purpose of subrogating a third party for the rights of the creditor? Suppose that the debtor owes one million Birr to the creditor. There is also a security, a house, given by the debtor to secure the claim of the creditor. On the other hand, there is a possibility that the debtor might not have other properties which he can give by way of securities to borrow from other persons. The third party may be willing; but, he may not be willing to lend the debtor devoid of security because his property has already encumbered and the other creditor is preferred. On the other hand, if the debtor cannot effect payment, we've said that the option the creditor has is to realize the security. But, how can the debtor

prevent this danger? Even if the debtor has approached Mister Abedari to lend him money, Mister abedari seeks real security for the loan. It is difficult for the debtor to produce a real security for the new debt. However, By subrogating Mister abedari for the position of the creditor, the debtor can enable Mister abedari to enjoy the real security that has been provided for the creditor. Suppose again that Mister abedari has given one million Birr to Mister tebedari to effect payment towards the creditor and the house has been given to secure the new debt. In this case, if the debtor has paid the 500,000 Birr towards the creditor and he has used the rest for another purpose, it is clear that the right of the creditor has not been satisfied. Because, there is an outstanding 500,000 Birr. For the outstanding 500,000 Birr, the creditor has a security claim against this house. This means that there is a competing right between creditor 1 and creditor 2. Though, creditor 1 is eventually the winner of the game. Creditor 2, therefore, may lose several amount of money. The best way to solve this problem is to make a subrogation contract between Mister abedari and Mister tebedari whereby Mister abedari can enjoy the security given to creditor 1. Subrogation gives the chance to the debtor to solicit loan to discharge his obligation.

The other benefit in connection with subrogation is related to interest. When the debtor who had borrowed money from the first creditor with interest rate of 12% solicits money from another person to effect payment to the first creditor, the third party may lend him the required

amount but with interest rate less than 12% or devoid of interest at all. After the subrogation has been done, the debtor may divert his intention to effect payment towards the creditor. In this case, what is usually done is that the lender, the subrogee, can compel the debtor as far as the purpose has already been defined in the contract to use the money to that specific end. Or the subrogee can provide the debtor with the loan by having CPU made in the name of the creditor. Whatever form it takes, subrogation shall not prejudice the right of the creditor.

Sometimes, the creditor may be paid in part. When he is paid in part, the paying third party will take the position of the creditor to the extent he has paid. In the case of part payment, both the creditor and the third party have claim against the debtor. But, the third party cannot be preferred over the creditor (Article 1972). It reads, (1) Subrogation may not be made to the detriment of a creditor who has been only partly paid. (2) The creditor may exercise his rights in respect of the balance still due in priority to the person from whom he received partial payment. The effect of subrogation is the same with that of assignment. Both the assignee and the subrogee take the position of the creditor. The principal, the interest and the securities will be transferred to the subrogee. Article 1974 provides that (1) He who assigned a right or was paid by a third party shall hand over to the assignee or to the subrogated creditor the document of title relating to the debt and furnish him with any available means of proof, as well as with the necessary information

enabling him to vindicate his rights. (2) In cases of partial assignment or payment, the original creditor shall supply a copy certified by two witnesses of the documents evidencing the claim. The paid creditor has to make the subrogation possible as well by handing on the documents supporting the claim and transferring the securities. Handing over the documents supporting the claim signifies that the creditor has been paid. So, in the case of part payment, the creditor should not hand on the documents supporting the debt. In stead of handing the original document supporting the claim, he is required to hand over a copy thereof certified by two witnesses by stating the amount paid therein.

But, there is an exception to this provision. Article 1975 provides that (1) Nothing in the preceding Articles shall affect the special rules governing, the assignment of certain specified rights. (2) Nothing shall affect the laws where the claim is embodied in a registered document or an instrument to order or to bearer. There are claims embodied in the document such as Beal of ladding in export trade. The one whose name the bill of ladding has been issued and who has that document at hand is entitled to take delivery of the goods indicated in the bill of lading. This document is a negotiable document; we can assign the right to another person. The other exception is that if one has a warehouse certificate, he can collect the properties indicated therein. This certificate is a negotiable instrument as well. Check can also be to order or to a specified person or it can be endorsed in black. If a check is issued in

one's name, what he does is to endorse it. The person whose name has been specified in the check can simply sign it at the back of the check. This person can again pass the check to another person simply by signing it. Then, the holder of the check is entitled to that right carried in the check. Sometimes, the check may be blank. This means that it simply states the sum but not the name of the beneficiary. In this case, any bearer who comes with the check is entitled to payment.

Delegation or assignment of obligation. To delegate means to represent a person on one's behalf. But, in this case, delegation means mandating a person to assume one's responsibility or to discharge one's obligation on one's behalf. The delegate debtor assumes the obligation of the delegator. In the law of contract, the delegate debtor is the third party and the delegator is the debtor. The delegate debtor is an agent of the debtor to discharge his obligation. He takes the position of the debtor and holds himself liable towards the creditor.

Article 1976 as to the principle of delegation reads, **A debtor may with the consent of the creditor, or without such consent in case provided by law or usage, delegate to another the performance of his obligations.** This delegation can be done with or without the knowledge of the creditor. **Unless the contrary has been expressly stipulated, the creditor who has agreed to such a delegation shall retain his right against the original debtor (1977/1.** However, he may not demand satisfaction from

the original debtor before demanding it from the delegate debtor. But, there has to be an agreement between the delegatee and the delegator.

On the other hand, There may be a case where we need to communicate to the creditor. Especially, when the debtor wants the creditor to discharge him and make the delegation complete, the debtor is required to communicate with the creditor so that the latter will expressly release him. Otherwise, the debtor, even if he has delegated the third party in his stead, will not be released and He will be held liable until the creditor's claim is satisfied. the delegatee must also agree with the delegator. Even if the delegate debtor owes something to the debtor, the debtor cannot compel him to be his delegate debtor. An acceptance emanating from genuine consent must come from the delegate debtor. however, Delegation may not always be possible. For example, when the debtor has to discharge the obligation in person, then it is impossible to effect delegation. This is a limit against delegation emanating from usage, custom, or law. The parties can also contractually restrict the delegation power of the debtor. The delegation right of the debtor can be contracted out. So, whenever we talk about delegation, we have to look it to the contract of the parties. We have also to think of the limitation provided by law or custom of that business. The fact that the creditor has accepted the delegation doesn't mean that he has released the debtor. If he wants to release the debtor, he has to expressly state that he has accepted the delegation and thereby released the debtor. If he doesn't expressly

agree to release the debtor, no matter the debtor delegates his obligation to another person, he remains bound towards the creditor. After the delegation, the creditor is expected to demand payment from the delegate debtor prior to requiring the original debtor to perform the obligation directly. Because, the delegation relegates the original debtor to a secondary position. From this point of view, the delegation gives the original debtor the benefit of discussion. This benefit of discussion is different from that of the guarantor. Because, the benefit of discussion in the case of guarantor entails certain responsibilities from the guarantor. The creditor is also better secured through delegation. The consent of the creditor is required by the debtor especially when the debtor wants to make the delegation complete and get him released.

Subject to usage, the delegate shall not be bound to accept the delegation notwithstanding that he is the debtor of the person appointing him as delegate (1978). This article seems to be custom specific and it relates to the place of payment.

Article 1979 provides that (1) The delegator may no longer revoke the delegation after the delegate accepted the liability towards the creditor or effected the payment. (2) The delegate may accept the liability or perform the obligation even after the death of the delegator or after the delegator having become incapable. Once the delegate has accepted the appointment, the delegator cannot revoke the delegation. Once the delegate has been appointed, he can accept the delegation or perform the

obligation after the death of the delegator or the delegator is rendered incapable. The offer might have been made to the delegate; but, before he accepts that delegation, the offeror may pass away or run out of his weight legally or judicially.

Article 1980 provides that (1) The delegate may not set up against the creditor defenses deriving either from his personal relationship with the delegator, or from the relationship between the creditor and delegator. (2) He may set up against the creditor defenses deriving from his personal relationship with him. Any defense derived from the relationship between the delegate debtor and the original debtor or between the creditor and the original debtor cannot be invoked against the creditor. The delegate can, however, invoke defenses emanating from his personal relationship with the creditor. In short, defenses which could have been enjoyed by the original debtor cannot be enjoyed by the delegate debtor. If a debtor lacking capacity or consent sustainable by law delegates the obligation to another person, the delegation finishes off such defenses.

Article 1981 provides that (1) A creditor who has released the original debtor has no remedy against him where the delegate debtor becomes insolvent, unless the delegation instrument contains an express reservation on this point. (2) He shall retain his remedy against the original debtor where the insolvency of the delegate had been already judicially recorded at the time of the delegation. The creditor can reserve

his right against the original debtor by saying that "I shall discharge you provided that the delegate debtor is not insolvent". The discharge of the debtor by the creditor can be done conditional. Under sub-article 1, by the time the creditor accepts the delegation and discharges the original debtor, the delegate debtor was not declared bankrupt. If the creditor doesn't reserve his right in respect of this event and completely discharges the original debtor, no matter the delegate debtor is declared bankrupt afterwards, he cannot have any claim against the original debtor. In short, the creditor can release the original debtor conditionally or unconditionally. But, when the creditor discharges the original debtor, he may not be aware of the fact that the delegate debtor has been adjudged bankrupt. If he does it devoid of being in full cognizance of the fact that the delegate debtor has been judicially declared insolvent, he can still retain his right against the original debtor.

In the case of subrogation and assignment, securities remain bound. In the case of delegation, Third parties who have secured the debt upon their property or are guarantors shall not be liable to the creditor unless they consented to the delegation (1982). The danger of the delegation is that the creditor would have another debtor; but, he may risk at losing the securities. Because, delegation automatically releases securities be it real or personal. But, those who have provided securities can be persuaded to give consent and continue with the delegation.

Oblique action: Oblique action occurs where the debtor is not diligent to protect his interest enough and thereby endangers the creditor. i.e. he endangers the interest of the creditor by making his insolvency eminent. In this case, The creditor may take in the name of the debtor any preservatory step required with a view to preventing the extinction of a right of the debtor(1992).

Article 1993 provides that (1) A creditor may, with the authorisation of the court, exercise as representative of the debtor all the rights of the debtor so as to prevent such impoverishment of the debtor as would jeopardize the payment of the debt. (2) The authorisation to act shall be refused to the creditor where the right he intends to exercise is, by nature or under the law, inherent in the person of the debtor. (3) The authorisation shall be refused where the creditor's rights are not imperilled by the inaction of the debtor whose insolvency is not in view.

The creditor may also be authorised by the court and act in the name of the debtor. The court must be sufficiently satisfied that the inaction of the debtor would result in his insolvency. That is his insolvency must be in view and eminent. This situation in the law of agency is called as curator. Article 2253 in connection with this situation provides that the authority to do an act or acts of a certain kind on behalf of another may be given by the court to a person hereinafter called the curator. This is a case that may be happening among relatives. When a person could not take care of his business because of illness or because he is away, his

relatives may apply to the court so that they shall be given the power to act on his behalf. But, in this case, it is the creditor of the debtor who convinces the court to be appointed as an agent of the debtor. So, since the creditor acts or exercises the rights of the debtor on behalf of the debtor, then we can refer to this guy as curator.

Suppose that the creditor has a claim of 200,000 Birr against the debtor. The debtor has also 300,000 Birr against another person called Fanno. Let's assume that if the debtor does not claim payment against Fanno, the claim would be barred by period of limitation and the debtor would be rendered insolvent. The only property which the debtor has is, however, the claim against Fanno. He has nothing more and nothing less. Despite this fact, he is reluctant to act against Fanno for different reasons. In such a case, the creditor can be authorized to act on the debtor's behalf by the court and claim payment from Fanno. Some people argue that the creditor is to claim payment from Fanno only to the extent of the claim he has against the debtor (200,000 Birr). Because, from the very beginning, the authorization is driven by the creditor's interest. The creditor is directly and indirectly trying to protect the debtor's and his interest respectively. This indirect protection of the claim of the creditor is also called an oblique action. When we look at this issue from the point of view of agency, the creditor is the agent and the debtor is the principal. So, it can be said that there is a fiduciary relationship between the debtor and the creditor. On the other hand,

Once the court has authorized the creditor, the creditor has to act in a strictest good faith and in the sole interest of the debtor. Whatever he does on behalf of the debtor is deemed as though it had been done by the debtor himself. From this point of view, we can say that the creditor has to claim the whole claim from Fanno because of the fact that he is an agent. There is another danger here. There is only one cause of action for the debtor. This single cause must be exercised at once. Once the creditor has instituted an action against the third party, the chance to institute such action for the second time will come to an end. This results in the risk of res judicata. Res judicata is important in that Litigation is a very costly business. So, in order not to incur costs, one cause must be litigated at once. The other point in relation to res judicata is that it is impossible to split the claim. In the above case, the 300,000 Birr cannot be splitted into two and postponed the remaining ones for another time. Litigation must be in total. If the creditor has splitted it, then it is deemed that he has forfeited the unlitigated part of the claim. Even if the creditor brought an action on behalf of the debtor, for the purpose of the law, it is the debtor who brought an action against Fanno. So, the creditor must claim the whole and should not split it to escape from the danger of res judicata. Some people argue that the creditor should claim only to the extent of his claim or should join the debtor and the third party in a suit. But, it does not seem possible to join a plaintiff as a defendant with the third party. Of course, according to article 40 of the

civil procedure code, when there are co-creditors against a debtor and if all but one creditor are not willing to institute an action against their debtor for various reasons, the co-creditor who is in need of instituting an action against the debtor can join the refusing creditors with the debtor in a suit as defendants. We cannot compel a person to be a plaintiff but to be a defendant. But, there is nothing he can claim from them. They are simply indispensable parties to the suit. In general, in the case of oblique action, the debtor is the plaintiff. So, the debtor cannot be joined to the suit with his debtor. Note must be taken that the creditor is an agent and so, he has to hand over all whatever he has collected to the debtor, his principal. Because, in this case, what is applicable is the law of agency.

In the case of *actio-poliana*, the law distinguishes the creditor who has acted from those who have not acted. But, in the case of oblique action, there is no distinction. Whether the preferred creditor or any other has acted, the money collected through litigation belongs to the debtor. So, even if an ordinary creditor collected the money through preservatory measure, if there is any preferred creditor, the preferred creditor shall take the money what has been collected by the ordinary creditor.

In the case of revokatory action, when the creditor challenges the fraud of the debtor, in that case, the creditor who challenged the fraudulent act will benefit despite the existence of the preferred creditor. This shows that there is a difference between revokatory and preservatory action.

The other point is debtor's fraud. A creditor may, in his own name, challenge the validity of acts whereby the debtor, in fraud of the creditor's right, alienated property or entered into obligations(1995). The debtor may act in defrauding the interest of the creditor using various means such as by entering into simulated contract, by alienating his property and so on. The whole purpose of alienating or entering into a simulated contract is to render himself insolvent. In this case, the creditor, unlike in the case of oblique action, acts in his own name. Because, he is challenging the debtor's action with the third party. I.e. he doesn't need court authorization. The creditor is expected to show two things, 1) the fact that he is the creditor of the debtor, 2) the debtor's action can renders the performance of the obligation impossible.

A person has a house which is worth 1000,000 birr. The same person wants to borrow to take loan of 4000,000 birr from commercial bank. At the same time, engineers of the bank who were bribed valued the house with 10000,000 birr. In this case, if the debtor has no other properties, the bank will be paid back only 1000,000 birr of the whole debt. Such activities are purely done to defraud the right of the creditor. So, every transaction made by the debtor with a third party to defraud the right of the creditor can be easily challenged unless it is proved that the third party has acted in good faith.

Article 1996 provides that (1) An act shall be deemed to have been done in fraud of the rights of creditors where it was done by the debtor so as to become insolvent, or with the knowledge that he was thereby increasing his insolvency. (2) The payment of mature debts may not be challenged by the creditors. If the debtor is paying an already matured debt, then we cannot regard it as a fraud. A third party who is prejudiced by the creditor's action may set up his good faith as a defense against such action where the act which is challenged, or a contingent act conferring rights on the third party, was done for consideration(1997). The third party must not be cognizant of the fact that the debtor is defrauding the rights of the creditor at the time of the making of the contract. If he has taken part in the plot, then he cannot invoke good faith. The mere fact that the transaction is made for consideration(1161) doesn't put the third party in good faith. He must also enter into a contract with the debtor with no cognizance of the fact that the debtor was defrauding the rights of the creditor. By for consideration, we mean that he should acquire it by paying money or for exchange.

The creditor's action should be brought within two years from the date of the act which is challenged(1998). Article 1999 provides that (1) a debtor's act declared to be fraudulent may not be set up against the creditor who brought the action. (2) It shall remain valid as between, the parties and in regard to other creditors. The creditor has shown that the debtor has acted in defrauding his right; he acted timely; he convinced

the court and he gets the contract invalidated. Then, the act of the debtor cannot be invoked against the creditor because his action has invalidated the act. The invalidation is, however, given only in respect of the creditor who challenged the act of the debtor. The act remains intact in respect of the third party or other creditors if any. The debtor having three creditors has sold his house for six million birr. The debtor owes 1000,000, 2000,000 and 5000,000 birr from creditor 1, 2 and three respectively. C 1 has brought an action against the debtor and the third party to challenge the sale contract. The sale contract is motivated to impoverish the debtor. C 1 has succeeded in convincing the court. Let us assume that the third party did not enter into the sale contract in good faith. He knew that the debtor was acting in defrauding the rights of the creditor even if he had already paid the debtor. Then, the contract is rendered invalid in respect of creditor one. The effect is that creditor 1 can realize the house to satisfy himself. Because, for the purpose of creditor one, the house is owned by the debtor. In this case, the third party is an acquirer of the ownership of the house. So, he can pay the 1000,000 birr to the creditor and retain ownership through subrogation. But, for the purpose of c two and c three, the house belongs to the third party. So, the third party can invoke the contract with the debtor against them. Because, on the basis of article 1989, Agreements entered into by a person may be set up against his creditors. In short, a suit by one creditor to challenge the fraudulent act doesn't benefit the other

creditors. The other creditors should prefer to acting rather than being silent and become as diligent as creditor one.

Proof of contract. What is proved is existence or non-existence of the fact. We don't need to prove the law. Proclamation 1 1942 is a proclamation that established the Neg Gazette. All laws are required to be published on Neg gazetta. Because, we are supposed to give notice to the whole public. If the laws are published in Neg gazetta, then it is presumed that the whole public shall have the knowledge of those laws. If a law is published in Neg gazetta, the court should also take judicial notice of the existence of that law. What is proved is whether there is a contract or not whether there is a force majeure or not. We prove facts at issue only when it is disputed. A party who alleges the existence of a fact has to prove its existence. Normally, the burden of proof lies upon the plaintiff. But, some times, the defendant may be required to prove the alleged fact(1149). In the case of possessory action, the defendant is required to prove the alleged fact by the plaintiff. However, if a plaintiff alleges the existence of a contract and if the defendant denies the alleged fact, the burden of proof lies upon the plaintiff. In the case of force majeure, the defendant is required to prove it. To simulate is to mean to make apparent. It appears to be true but it is not. In the case of simulation of contracts, we think of two acts, the apparent act and the counter deed. A simulated act is an act which is held outward for a third party to see. A counter deed is an act which is kept secret by the parties

and unknown to the third party. The apparent act doesn't signify the true intention of the parties. Rather, it implies the simulated intention of the parties. The apparent act is basically brought about to deceive third parties. A debtor entered into a bailment contract with a third party for having his car preserved. By the time he entered into the bailment contract, the car is belonging to him. In this case, the duty of the third party is to preserve the car on behalf of the debtor and give it back at the end of the day. The debtor may, however, say to the rest world that he has sold the car in stead. Even, both the debtor and the third party might tell the word that they have entered into a sale contract. If they tell the world that they have entered into a sale contract, no creditor can realize the car in the hand of the third party. Because, the third party can invoke the sale contract against the creditor (1989/1) so long as the contract is truly a sale contract. It reads, (1) Agreements entered into by a person may be set up against his creditors. (2) Agreements entered into by a person in respect of a certain thing may be set up against third parties who acquire from that person a particular right in respect of such thing, as from the time their date is authenticated or, where the law provides for the publication of such agreements, as from the day of publication. The contract which binds the relationship between the debtor and the third party is the bailment contract. The sale contract is simply an apparent act which is primarily shown to third parties including the creditor. This is mainly done to deny the creditor of his right to realize or

execute the judgment against the car. Parties may also tell the document authentication and registration office that they have bought a car with 100,000 Birr while they truly did the transaction with 500,000 Birr. These persons make two contracts, 1) the true contract, 2) the simulated contract used to deceive the notary. This is mainly done to do away with certain charges such as turn over tax and so on. The creditor has another option here; the contract which is invoked against him must be a counter deed. If the creditor can show that the contract invoked against him is a simulated act to the satisfaction of the court, then he can avail himself of the apparent act under 1991/3. It provides that (1) the provisions of Art. 1989 shall not apply in cases of simulation. (2) Counter-deeds shall bind the contracting parties only. (3) The creditor of one of the parties may avail himself of such apparent act on the basis of which he contracted. The simulated contract doesn't express the true intention of the parties. On the other hand, intention to be bound by a contract under Ethiopian law is not presumed (1679). We've seen that when the creditor of the first debtor comes to realize the car, the third party may invoke the sale contract against the creditor. On the other hand, when the creditor of the third party comes to realize the car believing that the car belongs to the third party, the third party can show him the bailment contract. This situation must be read in connection with article 1994. It reads, a creditor may have established, by judicial decision, that a transaction effected by a debtor was a simulated one which, by agreement, was not

intended to be carried out. We litigate fact; we litigate the law. In court, we have issues of fact and law. In this case, issues of fact have to be proved. A fact denied by one party and alleged by another is a fact at issue. Although this country has no a separate law of evidence, there are so many provisions scattered here and there in various laws. For example, the way how to prove a contract is provided in the law of contract; the way how to prove a will is provided in the law of succession. This is the difference between the common law system and the civil law system. In the common law system, there is a separate law of evidence while in the civil law system, there are provisions of evidence inserted in various laws. There are issues of relevance, admissibility and weight of evidence. Relevance is a question of logic whether the given evidence is relevant to the fact at issue. For example, if a contract is disputed, exhibit is not relevant evidence. Because, exhibit as an evidence is usually related to crime. In short, relevance is concerned with whether certain evidence has a provative value to a certain fact. Admissibility is, on the other hand, a question of law. The law provides which evidence is admissible to a given fact at issue and which is not. Evidence may be relevant; but, it may not be admissible. In the case of will, both the existence and the content of the will are proved by producing the document. Of course, in the case of will, producing witnesses to prove the existence and the content of a will seems to be relevant; but, the law made it inadmissible. The law provides an

evidence of a given nature for the fact at issue. In the case of crime, a witness's testimony in the police station may reveal the whole truth about the case as it tends to be relevant. The law, however, renders it inadmissible before a court. Because, it denies the defendant of the right to confront the witness (20/4) of the FDRE constitution. We say that the fact at issue is something we must prove. When we come to the issue of law, it is not something we are supposed to prove; but, the court has to take judicial notice in Neg Gazetta. No one can dispute the fact that the Sun rises in the east. No one can dispute the location of Addis Ababa. This implies that there are facts which are beyond disputes and are equally known to both the parties and the court. On those facts, there is no need to produce evidence. In any other case, the one who alleges the fact has to prove it (2001). It provides that (1) He who demands performance of an obligation shall prove its existence. (2) He who alleges that an obligation is void, has been varied or is extinguished shall prove the facts causing such nullity, variation or extinction. If one alleges that the contract is varied, then he has to prove it to the satisfaction of the court. If one alleges that performance is prohibited due to force majeure, then he has to prove it as well and the like. Some times, the burden of proof might shift to the defendant. What the plaintiff might allege may be admitted by the defendant. But, the defendant, despite admitting the existence of the contract, might invoke force majeure.

Mode of evidences. There are so many types of evidences. Witness, document, oath, admission, presumptions, exhibits and others are types of evidences used to prove fact (2002). When basic facts are proved, then we presume the other fact.

Where the law requires written form for the completion of a contract, such contract may not be proved by witnesses or presumptions unless it is established that the document evidencing the contract has been destroyed, stolen or lost (2003). For a written contract, the law has rendered all other evidences as an inadmissible. If one loses the document, first he has to prove that there has been a document in which a contract has been entered into and that such document is again lost. After such proof, the court will give him the chance to prove the existence of the contract with any other means of evidences. The parties cannot contractually agree in their case to provide for a different type of evidence. Because, the admissibility of evidences is provided by law.

As a contrary proof, the only means is that one can contest the content of a document by means of oath. Article 2006 as to contrary proof provides that (1) Statements contained in a written instrument may be challenged by those who signed it only by tendering an oath to the party who avails himself thereof. (2) No proof by witnesses nor any presumption is admissible against such statements. But, these days, taking oath cannot

be an exact contrary proof for the fact that people are morally at a horrible stage in connection with oath.

There are two kinds of documents, 1) authenticated document 2) non-authenticated document. If it is a non-authenticated document, one can deny his signature, hand-writing and so on. But, if it is an authenticated one, nothing can be disputed. In order to challenge a document having an authenticated date, one must have court permission (2010). It reads, (1) where the instrument was drawn up or received by a duly qualified public officer, third parties may freely challenge such statements only in the instrument as originated from the parties and could not be verified personally by the public officer. (2) Statements which the public officer personally verified may not be challenged except with the permission of the court.

There is a document usually known as *yekilet mezggeb* . People who are short of money take goods from a shop by having the goods taken by them and their name registered. But, this document does not serve as evidence against the person who has his name registered before a court (2017). It reads, Domestic records and papers are no evidence in favor of the person who wrote them.

If the person signs by acknowledging the debt, then contract can be presumed. Article 2019 concerning this issue reads, (1) where a person promised to make a payment or acknowledged a debt, the person in

whose favor the promise was made or the debt acknowledged need not prove a cause justifying them. (2) The existence of a valid agreement shall be presumed, subject to proof to the contrary. (3) Where proof of simulation of the cause is adduced, the party alleging that the obligation has another lawful cause shall prove it.

When we talk about presumptions, we are basically speaking of two facts, the basic fact and the presumed fact. The fact that a child was born in wed lock is a basic fact. The father is, however, the presumed fact. If we proved the basic fact, then the court will presume the other fact. In the case of payment, if we prove the basic fact, then the court has to presume payment. If the creditor is found to have handed over the document supporting the debt, then it is said to be a basic fact and the court shall presume that the creditor has been paid(2020). The article under consideration reads, the handing over of the document of title to the debtor shall raise a presumption that the debt has been discharged.

In the case of part payment, the debtor is required to question the creditor to make entries in the document and give him a receipt. Of course, in any case, even if there is no receipt given to the debtor, Entries made by the creditor at the end, in the margin or at the back of a document of title, which remained at all times in his possession, shall be conclusive evidence although not signed or dated by him, where they tend to establish the debtor's release(2021). Any entry indicating the

release of the debtor at anywhere in the document of the title will enable us to presume payment so long as it is proved.

Article 2022 provides that (1) In the case of interests or other periodical dues, the creditor who gives a receipt for a given period, without making any reservation, shall be deemed to have collected the dues for the previous periods. (2) Where the creditor gives a receipt for the principal, the debtor shall be deemed to have paid the interest. Suppose that a payment is paid on an installment basis. I.e. payment might be made every one or two months. In this case, if the creditor issues a receipt for the payment of the third month, then we presume that the first two months have been paid unless he has made reservations. If the first two months are not paid, when he receives payment for the third month, he should point out that the first two months have not been paid. Where the debt is interest bearing and the creditor issues a receipt for the principal without preserving the right to state that the interest has not been paid, again the law presumes that interest have been paid as well.

The other ground for presumption is time. Article 2023 provides that The following debts shall be deemed to have been paid where six months have elapsed since they fell due: (a) debts in respect of wages owed to clerks, office employees, servants, daily workers and workmen; and (b) debts due to masters or teachers in respect of lessons given monthly; and

(c) debts due to hotel-keepers, inn-keepers or managers of boarding-houses in respect of lodging and food; and (d) debts due to merchants in respect of goods and foodstuffs supplied by them to private persons for consumption or common use.

Article 2024 also provides that The following debts shall be deemed to have been paid where two years have elapsed since they fell due: (a) debts due to physicians, surgeons, dentists, midwives, pharmacists or veterinary surgeons in respect of professional services or supplies; and (b) debts due to advocates, notaries or other members of the legal profession in respect of professional services; and (c) debts due to handicraftsmen in respect of work done by them; and (d) debts due in respect of rents for houses or agricultural estates; and (e) arrears of periodical dues; and (f) interest on loans and generally any sum payable annually or at shorter periodical intervals. If a payment is not effected within six months time or within two years time, then presumption will be taken as it has been paid. In general, we have identified four grounds for presumptions.

The presumptions laid down in the preceding Articles shall not apply where: (a) the debtor has acknowledged the debt in writing; or (b) prior to the expiry of the period prescribed by law, the creditor has instituted proceedings with a view to the debtor paying the debt(2025). If payment

is demanded prior to six months or two years, presumption shall not take effect.

Article 2026 provides that (1) No proof shall be admitted to rebut the presumptions laid down in Art. 2020-2024. (2) the creditor may require the debtor or the debtor may require the creditor to take an oath as to whether or not the debt has been paid. (3) The heirs of the creditor or debtor may be required to take an oath as to whether they know if the debt has been paid or not. From the above article we learn that these presumptions are irrebuttable. If they have to be rebutted, the only means to rebut them is taking oath. For oath to be effective, we need to have a moral competence, the capacity to tell the truth.

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